'A peek into the future of housing with Housing Finance'

2012 | ANNUAL REPORT & FINANCIAL STATEMENTS

Housing Finance

Turning dreams into homes

CONTENTS

'Housing Finance, the benchmark in the future of property'

Our Vision

To be the leading provider of integrated solutions for the acquisition, development and improvement of property in Kenya.

Our Mission

We will be the leading integrated solutions enabler for the property industry. We will offer innovative products and services delivered under one roof by exceptionally committed people to enhance shareholder value. We will operate across the property value-chain as suppliers and financiers that offer unique solutions to all while being environmentally responsible.

DIRECTORS, OFFICERS AND ADMINISTRATION

DIRECTORS

Steve O Mainda, EBS	Chairman
Frank Ireri, EBS	Managing Director
David R Ansell*	
Benson Wairegi, EBS	
Peter K Munga, CBS	
Shem Migot-Adholla, EBS	
Arthur Odera	Resigned on 19 July 2012
Adan D Mohamed	Appointed on 15 October 2012

*American

COMPANY SECRETARY

Joseph Kania, CPS (K)
Rehani House
Kenyatta Avenue/Koinange Street
P.O. Box 30088
00100 Nairobi GPO

SHARE REGISTRAR

Joseph Kania, CPS (K)
Housing Finance Company of Kenya Limited
Rehani House
Kenyatta Avenue/Koinange Street
P.O Box 30088
00100 Nairobi GPO

AUDITORS

KPMG Kenya
Certified Public Accountants
16th Floor, Lonrho House
Standard Street
P.O Box 40612
00100 Nairobi GPO

PRINCIPAL LEGAL ADVISORS

Kaplan & Stratton Advocates
Williamson House
4th Ngong Avenue
P.O Box 40111
00100 Nairobi GPO

Walker Kontos Advocates
Hakika House
Bishops Road
P.O Box 60680
00200 Nairobi City Square

REGISTERED OFFICE

Plot No. LR 209/9054
Rehani House
Kenyatta Avenue/Koinange Street
P.O Box 30088
00100 Nairobi GPO

BANKERS

Equity Bank Limited
NHIF Building, Community
P.O Box 75104
00200 Nairobi City Square

Standard Chartered Bank Kenya Ltd
Kenyatta Avenue
P.O Box 40310
00100 Nairobi GPO

Barclays Bank of Kenya Ltd
Barclays Plaza
P.O Box 46661
00100 Nairobi GPO

Citibank NA
Upper Hill Road
P.O Box 30711
00100 Nairobi GPO

Central Bank of Kenya
Haile Selassie Avenue
P.O Box 60000
00200 Nairobi City Square

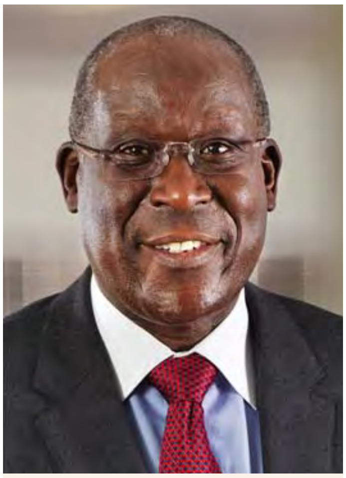
SUBSIDIARIES

Kenya Building Society Limited
First Permanent (East Africa) Limited
Housing Finance Insurance Agency Limited

WE ARE SPECIALISTS IN CREATING HOME OWNERSHIP SOLUTIONS

"The whole difference between construction and creation is exactly this: that a thing constructed can only be loved after it is constructed; but a thing created is loved before it exists." At Housing Finance, we have been and will continue to be involved in ensuring that we create solutions that drive property investment to greater heights.

BOARD MEMBERS' PROFILES



Steve was appointed as the Chairman of the Board of Directors on 27th April, 2010.
He has a wealth of experience in Finance, Insurance, Investment, Education and Management. He is also the Chairman of the Insurance Regulatory Authority. He holds Directorships in Fina Bank, Ryce Motors, Sasini, a company listed on the Nairobi Securities Exchange and KK Security among others.
Steve is a member of Chartered Institute of Insurance and a Fellow of the Institute of Directors of London. He holds M.A., B.A., and Diplomas from the Universities of Princeton, Cambridge, Makerere and Harvard Business School.

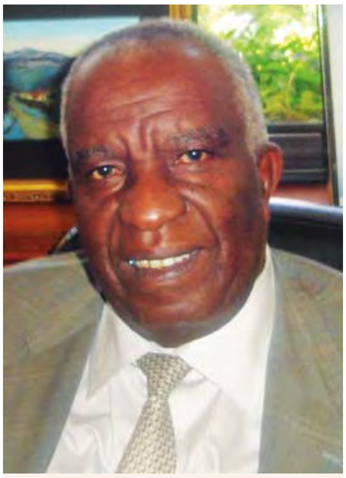
Steve Omenge Mainda, EBS
Chairman

David was appointed Director in October 2001. He serves as a member of the Board of Equity Bank Kenya. He is also chairman of the Board of Equity Bank Uganda, Rwanda and Tanzania, institutions that are 100% owned by Equity Bank Kenya.
He is on the Advisory Board of the Private Equity New markets fund managed by BankInvest, the largest Asset Manager in Denmark.
He retired from Citibank in February 2001, after 30 years of Service, including an assignment as Director of Citibank's African Businesses based in Nairobi.
He was previously Managing Director of Ecobank Transnational Inc. based in Lome, Togo. He is married with 2 grown up children.

David R. Ansell

Benson is currently Group Managing Director of British American Investments Company (Kenya) Ltd. Benson joined British American Insurance Company (Kenya) Ltd in 1980 as the Chief Accountant. He had previously worked with PriceWaterhouse, the forerunner to Pricewaterhousecoopers.
Benson holds a Bachelor of Commerce degree in Accounting and an MBA in Strategic Management from Nairobi University. He is a member of the Institute of Certified Public Accountants of Kenya (ICPAK).
Benson's other Directorships are in Equity Bank Ltd and Chairman, Kenyatta University Council.

Benson I. Wairegi, EBS



Peter is the founder and Chairman of Equity Building Society Ltd, the predecessor of Equity Bank Ltd where he also serves as Board Chairman.
Peter is a qualified Certified Public Secretary. Among other Directorships, Peter is also Chairman of Pioneer International College, Chairman of National Oil Corporation and also sits on the Board of British American Insurance Company Ltd. In his spare time, Peter enjoys reading and travelling.

Peter K. Munga, CBS

BOARD MEMBERS' PROFILES

Frank was appointed Managing Director in July 2006. He is a seasoned banker with more than 20 years standing having joined from Barclays Bank Africa where he was Head of Barclay Card Africa Operations, covering Kenya, Botswana, Zambia, Mauritius, Seychelles and Egypt. Prior to this, he worked with Commercial Bank of Africa and Citibank. During his banking career, he has had international exposure in Poland, Sri Lanka and Zambia. Frank is an Honorary Counsel member of AIESEC, a member of the Sub-Saharan Africa Chamber of Commerce Advisory Board, a member of the Habitat for Humanity Kenya Board and a member of the Madison 'Who's Who'. Between 2001 and 2002 he was also the Chairman of the Kenya Institute of Bankers. He is married with 2 children.

Frank Ireri, EBS
Managing Director

Adan joined the board on 15th October 2012. He is the Chairman and a Member of the Board of Trustees at the National Social Security Fund (NSSF). Adan has extensive knowledge and expertise in Law having engaged in legal representation in and outside the country. He has also engaged in the training and evaluation of law enforcement officials in matters involving access to justice and eradication of inequalities based on race, gender or national origin.

Adan Daud Mohamed

Prof Shem Migot-Adholla is a renowned Sociologist, with broad and extensive experience on land policy, agriculture, rural development and environmental issues. He is currently a Non-Executive Director of Equity Bank Kenya Limited. He is a former Vice Chairman of Kenya Wildlife Service (KWS) and Chairman of the Institute of Policy Analysis and Research (IPAR) as well as Centre of Corporate Governance (CCG). He holds membership in various professional organizations and previously served as Lead Specialist in Land Policy and Administration at the World Bank Headquarters and as Permanent Secretary, Ministry of Agriculture and Rural Development. Prof. Migot-Adholla holds a Doctor of Philosophy in the Sociology of Development from the University of California, Los Angeles, and a Master of Arts in Sociology from the same University. He was a Special Graduate Student in Agricultural Economics at Michigan State University and was awarded a Bachelor of Arts (Honors) degree from the University College, Dar es Salaam, University of East Africa.

Prof. Shem Migot-Adholla, EBS

NOTICE OF ANNUAL GENERAL MEETING

To the Shareholders of Housing Finance Company of Kenya Limited

NOTICE IS HEREBY GIVEN that the 47th Annual General Meeting of the Company will be held in Nairobi on Friday 26 April 2013 at Bomas of Kenya Auditorium at 11.00 am to conduct the following business:

1 To table the proxies and note the presence of a quorum.

2 To read the notice convening the meeting.

3 To receive and, if approved, adopt the audited Balance Sheet and Accounts for the year ended 31 December 2012, together with the Chairman's, the Directors' and Auditor's Reports thereon.

4 To declare a final dividend of Kshs.0.70 per share for the financial year ended 31 December 2012 and approve the closure of the Register of Members at the close of business on 17 May 2013.

5 To elect Directors:

a) Mr. David Ansell retires by rotation in accordance with Article 105 of the Company's Articles of Association and being eligible offers himself for re-election.

b) Mr. Adan Mohammed retires in accordance with Article 104 of the Company's Articles of Association and being eligible offers himself for re-election.

6 To pass the following Ordinary Resolution:

Special Notice pursuant to section 142 and 186 (5) of the Companies Act Cap 486 of the Laws of Kenya, having been received by the Company of the intention to move a resolution that Prof Shem Migot-Adholla who has attained the age of 70 years be re-elected as a Director of the Company notwithstanding his having attained such age, to consider, and if thought fit, pass the following Resolution as an Ordinary Resolution:

"That Prof Shem Migot-Adholla who has attained the age of 70 years, and who retires by rotation be re-elected as a Director of the Company under the Memorandum and Articles of the Company.

7 To approve the Directors' Remuneration and Company Medical Scheme Benefit.

8 To note that the auditors, KPMG Kenya, will continue in office in accordance with Section 159(2) of the Companies Act (Cap 486) and Section 24(1) of the Banking Act (Cap 488) and to authorize the Directors to fix their remuneration.

BY ORDER OF THE BOARD
Joseph Kania
Company Secretary
Date:
P.O. Box 30088, GPO 00100
NAIROBI

NB:

1. In accordance with Section 136 (2) of the Companies Act (Cap 486) every member entitled to attend and vote at the above meeting is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member. A form of proxy is enclosed and should be returned to The Registrar, Housing Finance Company of Kenya Limited, Rehani House, Kenyatta Avenue, P.O. Box 30088, GPO 00100, Nairobi, to arrive not later than 48 hours before the meeting or any adjournment thereof.

   If the appointer is a corporation or Government office, the instrument appointing the proxy shall be given under its common seal or under the hand of an officer or duly authorized attorney of such corporation or Government office.

2. A copy of this notice, the proxy, the entire Annual Report & Accounts may be viewed on the Company's website at www.housing.co.ke or a printed copy may be obtained from the Registered Office of the Company, Rehani House, Kenyatta Avenue/ Koinange Street, P.O. Box 30088-00100 GPO, and Nairobi and from all our registered Branches countrywide.

3. Transport will be provided to shareholders from the Housing Finance Head Office at Rehani House to the Bomas of Kenya Auditorium from 8.00am to 10.00am.

NOTISI KUHUSU MKUTANO WA PAMOJA WA MWAKA

Kwa wanahisa wa Housing Finance Company of Kenya Limited

NOTISI INATOLEWA HAPA KWAMBA, mkutano wa 47 wa pamoja wa mwaka wa kampuni utafanyika jijini Nairobi siku ya Ijumaa Aprili 26, 2013 katika ukumbi wa Bomas of Kenya kuanzia saa tano asubuhi ili kuangazia shughuli zifuatazo za kibiashara:

1) Kuwatambua waakilishi na kukagua idadi ya watu inayohitajika kuendeleza mkutano

2) Kusoma notisi ya kuitishwa kwa mkutano

3) Kupokea na endapo itapitishwa, kuidhinisha mizania (balance sheet) iliyokaguliwa pamoja na hesabu ya pesa kwa kipindi cha mwaka uliomalizika Desemba 31, 2012 pamoja na ripoti kutoka kwa Mwenyekiti, Wakurugenzi na Wakaguzi wa pesa.

4) Kutangaza malipo ya mwisho ya mgawo wa faida ya senti 0.70 kwa kila hisa kwa kipindi kilichomalizika Desemba 31, 2012 na kupitisha kufungwa kwa rejista ya wanachama kufikia Mei 17, 2013.

5) Kuwachagua wakurugenzi :
   a) Bw. David Anseli anastaafu kwa zamu kwa mujibu wa kifungu nambari 105 cha sheria za kampuni na kwa kuwa hali inamruhusu, anajitokeza ili kuchaguliwa tena.
   b) Bw. Adan Mohammed anastaafu kwa zamu kwa mujibu wa kifungu nambari 104 cha sheria za kampuni na kwa kuwa hali inamruhusu, anajitokeza ili kuchaguliwa tena.

6) Kupitisha azimio lifuatalo la kawaida:

   Notisi maalumu kwa mujibu wa sehemu ya 142 na 186 (5) ya sheria za makampuni nchini Kenya baada ya kupokewa na Kampuni kwa nia ya kupitisha azimio kwamba Prof. Shem Migot-Adholla ambaye ametimiza miaka 70 achaguliwe tena kama Mkurugenzi wa Kampuni bila kujali umri aliotimiza, kuzingatia na endapo itafirikiwa kuwa bora kupitishwe azimio lifuatalo kama azimio la kawaida.

   "Kwamba Prof. Shem Migot-Adholla ambaye ametimiza umri wa miaka 70 ambaye anastaafu kwa zamu achaguliwe tena kama Mkrugenzi wa Kampuni chini ya memoranda na sheria za kampuni".

7) Kupitisha malipo ya wakurugenzi na mpango wa matibabu wa kampuni

8) Kutambua kwamba, wakaguzi wa Pesa KPMG Kenya wataendelea mbele na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya Sheria za Kampuni (kifungu nambari 486) na sehemu ya 24 (1) ya Sheria za Mabenki (kifungu nambari 488) na kuwapa uhuru wakurugenzi kuamua malipo yao.

KWA AMRI YA HALMASHAURI
Joseph Kania
Katibu wa Kampuni
Tarehe:
SLP 30088, GPO 00100
NAIROBI

MUHIMU:

1) Kwa mujibu wa sehemu ya 136 (2) ya sheria za makampuni (kifungu nambari 486) kila mwanachama aliye na uwezo kuhudhuria mkutano uliotajwa hapo juu na kupiga kura ana uhuru kumteua wakala wake kumwakilisha na kupiga kura kwa niaba yake. Si lazima kwa wakala kuwa mwanachama. Fomu ya uwakilishi imeambatanishwa na ripoti hii na inafaa kurudishwa kwa msajili, Housing Finance Company of Kenya, jumba la Rehani, barabara ya Kenyatta Avenue, SLP 30088, GPO 00100 Nairobi ili kupokelewa saa 48 kabla ya mkutano kufanyika au kuahirishwa kwake.

   Endapo mteuzi ni shirika au ofisi ya serikali, nakala itakayomteua mwakilishi sharti iwe imepigwa mhuri au kuwasilishwa na afisa au wakili wa shirika au ofisi ya serikali.

2) Nakala kuhusu notisi hii, ripoti kamili ya ripoti hii ya mwaka pamoja na hesabu za pesa zinaweza kupatikana kupitia wavuti wa kampuni: www.housing.co.ke au nakala iliyopigwa chapa inaweza kupatikana kupitia ofisi ya kampuni iliyosajiliwa katika jumba la Rehani, barabara ya Kenyatta/ Koinange SLP 30088-00100 GPO Nairobi au kupitia matawi yetu yote yaliandikishwa kote nchini.

3) Huduma za uchukuzi zitatolewa kwa wanahisa kutoka ofisi kuu za Housing Finance zilizoko Jumba la Rehani hadi ukumbi wa Bomas of Kenya kuanzia saa mbili asubuhi hadi saa nne asubuhi.

Steve Omenge Mainda, EBS
Chairman

"On the whole, we remained steadfast in our mandate to providing Kenyans with shelter and in fulfilling our strategic objectives."

CHAIRMAN'S REPORT

Dear Shareholders,

On behalf of the Board, I am pleased to submit to you the annual report of Housing Finance for the year ended 31st December 2012 and share with you the remarkable achievements and plans for your esteemed company.

Overview

In the year 2012, Kenya's economic resilience faced tough moments attributed to the fluctuating interest rates, inflationary pressures and the anxieties of the just concluded general elections. On the whole, we remained steadfast in our mandate to providing Kenyans with shelter and in fulfilling our strategic objectives.

Financial Highlights

In several ways, 2012 was indeed a successful year. As you read through the financials you will notice we experienced a slight dip in our profit levels by 7%, that could be attributed to the economic environment that we faced. In light of these results and in keeping with our strategy, I would like to give you the excitement we feel of an awakening giant. The future that we have planned ahead of us gives us a very clear perspective of where we intend to be. I will highlight some of the achievements that we have made so far, so that you can experience an appreciation of our anticipation of the future.

Strategy Highlights

Last year, I mentioned to you that our 2012 – 2016 five year strategy journey would be aggressive on growth for the company. A lot of initiatives have been made to ensure that we start off in the right footing and take advantage of the myriads of opportunities in the housing and property industry. The revival of the Kenya Building Society is an achievement that we take with great triumph as we were able to revive the construction of the Komarock Phase 5A estate, with a commercial center coming on later in 2013. On another front, we won the case that had been long pending between Housing Finance and Santack Limited, thereby unlocking our potential in providing affordable home ownership solutions. Another great milestone for us is the Housing Finance Insurance Agency, which was formed to ensure our customers are able to access a complete suite of financial products under one roof. I am glad to report that these units are already becoming profitable centers for the group.

Operational Efficiency

To enable Housing Finance carry out expanded and improved level of services, the company took a bold step and made significant investment in the core banking system. The journey is now half way through and the contract is so far running on schedule. In 2013, the team will focus on the development and implementation of a robust system that will run a more efficient front-end service and financial reporting module. This achievement is significant by any standards and I would like to thank the Management for making conscious efforts to fully explore and exploit the capacity that this new investment will create.

CHAIRMAN'S REPORT

Dividends

In light of the results for the year ended 31st December 2012, I am delighted to announce that the Board has proposed a full and final dividend of 70cts. We pay this dividend in recognition that our business is in the growth phase, and in spite of the challenges that we experienced throughout the year, we are positive that this will not hamper our future plans of taking this business to new heights.

Corporate Social Responsibility

Housing Finance has been a very conscientious citizen and is continuously aware of the unfortunate imbalance not only in the social front, but also in the economic and educational front.

There are several interventions that we have continued to engage in; the key one for the year being the operationalization of the Housing Finance Foundation. The Foundation was formed, with the mandate of promoting technical skills that enhance empowerment and environmental sustainability. I am glad to inform you that the Foundation in its short period of operation has already formed key partnerships with strategic partners who will propel it towards achieving its vision.

The Future

The year ahead tends to indicate that the economic environment could be even more challenging than in 2012. On the international scene, continued market volatility around the world was caused in part by concerns over the Eurozone. Such a situation calls for more caution and rigour. Housing Finance however remains optimistic that we are heading to the right direction. With the leadership that we have and with the right monitoring tools that we have in place, we shall have a positive year ahead. I am confident that through our disciplined approach to risk, we shall not only meet those challenges but also capitalize on local opportunities.

I thank you all for the commitment you have shown to this company. We are all responsible for providing a strong heritage for Housing Finance, to the future generations and to the country at large, a timely challenge as the country turns 50. I am sure we shall embrace this challenge as credible Kenyan patriots.

I would like to take this opportunity to thank the Staff and Management for their invaluable commitment and contribution through the year and the Directors for their valuable expertise, experience to the affairs of Housing Finance, personal commitment and direction, that has been a key ingredient to our success.

STEVE OMENGE MAINDA, EBS

CHAIRMAN.

Steve Omenge Mainda, EBS
Mwenyekiti

"Kwa jumla, tulibakia kuwa imara katika jukumu letu la kuwapatia wakenya makao na kutimiza malengo ya mkakati wetu."

RIPOTI KUTOKA KWA MWENYEKITI

Kwa Wanahisa,

Kwa niaba ya Halmashauri, nina furaha kuwatangazia ripoti ya Housing Finance kwa kipindi cha mwaka uliomalizika Desemba 31, 2012 na pia kusherehekea nanyi mafanikio makubwa na mipango ya kampuni yenu.

Mtazamo

Katika kipindi cha mwaka 2012, ukuaji wa uchumi wa taifa la Kenya ulikabiliwa na vipindi vigumu kutokana na mabadiliko ya viwango vya riba, shinikizo la mfumuko wa bei za bidhaa na taharuki kutokana na zoezi la uchaguzi mkuu ambao umekamilika hivi punde. Kwa jumla, tulibakia kuwa imara katika jukumu letu la kuwapatia wakenya makao na kutimiza malengo ya mkakati wetu.

Vidokezo kuhusu fedha

Kwa namna mbali mbali, 2012 ulikuwa mwaka wa ufanisi. Kama mtakavyosoma kupitia taarifa ya kifedha, mtagundua kwamba tulishuhudia kupungua kwa viwango vya faida kwa asilimia saba (7%) punguko ambalo huenda lilitokana na mazingira ya kiuchumi tuliyopitia. Kwa mtazamo wa matokeo haya na kwa kuzingatia mkakati mmoja, ningependa kuwapa msisimko tunaohisi wa jitu linalomka. Mpango wa siku za usoni ambao tumepanga unatupatia mwelekeo kamili wa mahali kamili tunakotarajia kuwa. Nitazungumzia kwa kifupi baadhi ya mafanikio ambayo tumepata hadi sasa ili kutuwezesha kuhisi matarajio yetu kwa siku za usoni.

Vidokezo kuhusu mkakati

Mwaka jana niliwatajia kwamba safari yetu ya mkakati wetu wa miaka mitano - 2012-2016 ungekuwa muhimu kwa ukuaji wa kampuni. Juhudi mbali mbali zimefanywa kuhakikisha kwamba tumeanza safari hii kwa njia bora na kuchukua manufaa ya nafasi mbali mbali zinazojitokeza katika sekta ya nyumba na mali. Kufufuliwa kwa Kenya Building Society ni mafanikio tunayoyachukua kama ushindi mkubwa kwani tuliweza kufufua ujenzi wa mtaa wa Komarock Phase 5A estate huku ujenzi wa kituo cha biashara ukitarajiwa kuja baadaye mwaka 2013. Kwa upande mwingine, tulipata ushindi wa kesi ambayo ilikawia kwa muda mrefu baina ya Housing Finance na Stantack Limited na hivyo kuondoa kikwazo cha kutoa suluhu la umiliki wa makao kwa bei nafuu. Ufanisi mwingine muhimu kwetu ni uwakala wa bima (Housing Finance Insurance Agency) ambao ulizinduliwa kuhakikisha kwamba wateja wetu wanaweza kupata huduma zote za kifedha kwa pamoja. Nina furaha kutangaza kwamba, tayari vitengo hivi vimeanza kuwa vituo vya faida kwa kundi.

Ufanisi wa utekelezaji kazi

Ili kuiwezesha Housing Finance kutekeleza huduma zake zilizopanuliwa na kuimarishwa, kampuni ilichukua hatua ya ujasiri na kuwekeza raslimali kubwa kwenye mfumo muhimu wa benki. Kwa sasa, safari hii imefika kati kati na kandarasi inaendelea kama ilivyopangwa. Mwaka 2013, timu itaangazia maendeleo na uzinduzi wa mfumo ambao utaendesha kwa ufanisi huduma za mbele na nyuma na mbinu za taarifa za kifedha. Ufanisi huu ni muhimu kwa viwango vyote na ningependa kushukuru usimamizi kutokana na juhudi kubwa kuchunguza na kutumia kikamilifu uwezo ambao uwekezaji huu mpya utabuni.

RIPOTI KUTOKA KWA MWENYEKITI

Mgawo wa faida

Kutokana na matokeo ya kipindi cha mwaka uliomalizika Desemba 31, 2012, nina furaha kutangaza kwamba Halmashauri ilitoa pendekezo la mgawo kamili na wa mwisho wa faida wa senti 70. Tutalipa mgawo huu wa faida kwa kutambua kwamba biashara yetu iko katika mkondo wa ukuaji na, licha ya changamoto tulizokumbana nazo kipindi chote cha mwaka, tuna imani kwamba hili halitaathiri mipango yetu ya siku za usoni ya kufanikisha biashara yetu hadi upeo mpya.

Wajibu wa kampuni kwa maslahi ya jamii

Housing Finance imekuwa mzalendo kamili na kila mara ikifahamu ukosefu wa usawa sio tu kwa jamii bali pia kwa uchumi na elimu.

Tumekuwa tukijihusisha na mambo mbali mbali; mojawapo wa mambo muhimu tuliyojihusisha nayo ni uzinduzi wa wakfu wa Housing Finance. Wakfu huu ulianzishwa ukiwa na malengo ya kusaidia taaluma ya kiufundi ambayo inaimarisha uwezo na uthabiti wa mazingira. Nina furaha kuwafahamisha kwamba, kwa kipindi kifupi cha utekelezaji kazi, tayari wakfu huu umebuni ushirikiano muhimu na washirika kwenye mkakati ambao watausaidia kuafikia ndoto yake.

Siku za usoni

Mwaka ulioko mbele yetu unaashiria kwamba mazingira ya kibiashara huenda yakawa na changamoto nyingi zaidi ya mwaka 2012. Kwenye ngazi ya kimataifa, wasi wasi wa masoko duniani ulitokana na shaka katika kanda ya bara uropa.Hali kama hii inahitaji tahadhari na unagalivu. Hata hivyo, Housing Finance ina matumaini kwamba tunaelekea kwenye mwelekeo mwema. Tukiwa na uongozi tulio nao na vifaa bora, tutakuwa na mwaka wenye ufanisi mbele yetu. Nina imani kwamba kupitia mbinu yetu ya kukabiliana na tahadhari, hatutaweza tu kukabiliana na changamoto hizo lakini pia kutumia vyema nafasi zilizoko humu nchini.

Nawashukuru nyote kutokana na kujitolea kwenu katika kampuni hii. Sote tuna wajibu wa kunadaa urathi thabiti kwa Housing Finance kwa vizazi vijavyo na taifa kwa jumla, changamoto kubwa iliyowadia wakati taifa linaadhimisha miaka 50. Nina imani kwamba tutabiliana na changamoto hii kama wazalendo kamili.

Ningependa kuchukua nafasi hii kuwashukuru wafanyakazi na wasimamizi kutokana na kujitolea kwao na kwa mchango wao kipindi chote cha mwaka na Wakurugenzi kutokana na utaalamu wao wenye thamani, ujuzi wao kwenye shughuli za Housing Finance, kujitolea kwao kibnafsi na mwelekeo ambao umekuwa ni kiungo muhimu kwa ufanisi wetu.

STEVE OMENGE MAINDA, EBS

MWENYEKITI

Frank Ireri, EBS
Managing Director

“A lot of activities were done through the year to realize the intended growth for the bank in the 2012 – 2016 strategy.”

MANAGING DIRECTORS REPORT

Ladies and gentlemen, the year 2012 was one that experienced significant challenges across the financial industry with the fluctuations in interest rates and fuel prices that in turn led to high inflation across all sectors of the economy. The political environment also took center stage in the year and the anxieties of the previous election period made most of the public aware, thereby holding onto their investment plans into a future we expect looks very bright.

Financial Results

I acknowledge that the bottom line did not improve as had been anticipated. I would however like to note that generally, the overall results for the year were on the whole pleasing given the continued difficult trading environment.

Overall, the group's pre-tax profits dropped by 7 % from Kshs. 975 million to Kshs. 907 million, while the profit after tax increased to Kshs 743 million up from Kshs 622 million a factor that can be attributed to a lower tax expense in 2012.

Some of the key highlights of our performance are:

- Loans and advances increased by Kshs 5.1 billion to Kshs 30.3 billion from Kshs 25.2 billion
- Customer deposits increased by Kshs 4.3 billion to Kshs 22.9 billion, up from Kshs 18.6 billion
- Interest Income increased by 46 % to Kshs 5.1 billion from Kshs 3.4 billion
- Interest expenses doubled to Kshs 3.1 billion up from Kshs 1.5 billion owing to the high cost of corporate deposits.

It is also important to note that the period was especially quite difficult for our customers who were also exposed to the rising cost of credit.

Growth Highlights

A lot of activities were done through the year to realize the intended growth for the bank in the 2012 – 2016 strategy. One of the key highlights for us is the launch of the Current Account earlier in the year. This product is meant to facilitate the attraction of large amounts of low cost customer deposits that would in turn allow us as an institution to increase our lending capacity and expand operations to meet the growing demand for housing. Alongside the Current Account was the Connecting Link Club, a pioneering club in the market accessible to our Current Account holders that is designed to provide the latest property and investment information on trends, demands, supply, next frontiers, innovations and anything property in the industry.

We also signed an Agency agreement with Post Bank. This partnership was as a result of one of the strategic intents by the institution to create an optimal channel distribution mix that will serve in the medium term as a tool to decentralize the mortgage market from Nairobi into the 47 counties. In the same breath of expanding our distribution mix, we introduced a Mobile Banking service that allows our customers to access our services from anywhere across the country and at any time.

In the same year, we were able to expand our geographical presence by opening a branch in Meru and Sales and Service centers in Nyali and Ongata Rongai. These centres are able to offer our banking services ranging from account opening, mobile banking application, cheque deposit, mortgage loan application and property sales. There are plans to upgrade the Nyali centre into a fully-fledged branch in the coming year. These regions are hot spots for property investors and will continue to attract a lot of interest and we expect that we will experience exponential business growth.

MANAGING DIRECTORS REPORT

Funding Highlights

In recognition of the fact that housing development is a capital intensive business that requires steady long tenor funding streams, we looked at various funding sources aiming to diversify our funding mix. In the year, we went back to the market for the 2nd tranche of the bond. We raised Kshs 5.2 billion against a target of Kshs 2.9 billion representing a 79 percent oversubscription. The bond issue attracted both local individual and Institutional investors and reflects a strong belief in our business fundamentals.

In addition to the Bond, we looked to international lenders as a way of raising low-cost long-term funds. To this end, we were able to secure a three year loan of Kshs. 850 million from the London based Ghana International Bank PLC (GHIB) and a further Kshs. 2.2 billion with the European Investment Bank (EIB), for funding eligible SMEs in the construction industry and for boosting of the mortgage business.

We will continue to focus on accessing cheaper longer term funds to cushion our customers from interest rates fluctuations.

Future Plans

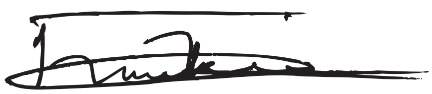
I hope the insights I have given you point to a very promising future for the company.

We have and will continue to focus on achieving the key strategic objective of strengthening our capital as well as customer base. We now are focusing on actualizing other key elements of our strategy notably:

- Enhancing our customers' experience through Relationship Management; a concept that we have introduced and shall continue to embed to ensure all round enhanced customer experience.
- Becoming a major contributor to increased property stock targeting the lower and middle income segments of the market in the country and growing the property industry through Joint Ventures and the Kenya Building Society.
- Launching new and innovative products that address the diverse needs of our customers and the market.
- Develop robust community connection mechanisms through the Housing Finance Foundation that bring sustainable economic development to the organization, the community that we shall operate and in turn our customers and shareholders.

All of the above mentioned plans are carried out with a view to actualizing our vision of transforming Housing Finance to be the leading provider of property solutions in the region. It is important to note that all these objectives are being implemented in a dynamic and ever changing environment but, we remain optimistic that we will weather the storms that will come our way.

Thank you and best wishes to you.



FRANK IRERI, EBS
MANAGING DIRETOR

Frank Ireri, EBS
Meneja Mkurugenzi

“Shughuli mbali mbali zilitekelezwa mwaka mzima ili kuafikia ukuaji wa benki ulionuiwa kupitia mkakati wa mwaka 2012-2016.”

RIPOTI KUTOKA KWA MENEJA MKURUGENZI

Mabibi na mabwana, 2012 ulikuwa mojawapo wa mwaka ulioshuhudia changamoto muhimu katika biashara ya fedha huku mabadiliko ya viwango vya riba na bei za mafuta zikipelekea kuwepo kwa viwango vya juu vya mfumuko wa bei za bidhaa katika sekta zote za uchumi. Pia, mazingira ya kisiasa yalitwaa nafasi muhimu mwaka huu huku taharuki za kipindi cha uchaguzi mkuu uliopita zikitoa tahadhari kwa umma na hivyo kusitisha mipango yao ya uwekezaji hadi siku za usoni ambazo tunatarajia kuwa bora zaidi.

Matokeo ya kifedha

Ninatambua kwamba viwango vya chini havikuimarika kama ilivyotarajiwa. Lakini, ningependa kutambua kwa jumla kwamba, matokeo ya jumla ya mwaka yalikuwa ni ya kuridhisha licha ya mazingira magumu ya kibiashara.

Kwa ujumla, faida ya kundi kabla ya ushuru ilishuka kwa asilimia 7 (7%) kutoka Kshs. milioni 975 hadi milioni 907 huku faida baada kutozwa ushuru ikiongezeka na kufikia Kshs. milioni 743 kutoka Kshs. milioni 622 matokeo yaliyosababishwa na gharama za chini za ushuru mwaka 2012.

Baadhi ya vidoekzo muhimu vya matokeo yetu ni kama vifuatavyo:

- Mikopo na malipo ya mapema ziliongezeka kwa Kshs. bilioni 5.1 na kufikia Kshs. bilioni 30.3 kutoka Kshs. bilioni 25.2
- Akiba ya wateja iliongezeka kwa Kshs. bilioni 4.3 hadi Kshs. bilioni 22.9 kutoka Kshs. bilioni 18.6.
- Mapato kutokana na riba yaliongezeka kwa asilimia 46 (46%) hadi Kshs. bilioni 5.1 kutoka Kshs. bilioni 3.4
- Gharama kutokana na riba ziliongezeka maradufu hadi Kshs. bilioni 3.1 kutoka Kshs. bilioni 1.5 kutokana na ongezeko la akiba ya juu kutoka kwa mashirika

Ni muhimu kufahamu kwamba, kipindi hiki kilikuwa kigumu sana kwa wateja wetu ambao walikuwa wakikumbana na kupanda kwa gharama za mikopo.

Vidokezo vya ukuaji

Shughuli mbali mbali zilitekelezwa mwaka mzima ili kuafikia ukuaji wa benki ulionuiwa kupitia mkakati wa mwaka 2012-2016. Mojawapo wa vidokezo hivyo ni uzinduzi wa akaunti ya hundi (Current Account) mapema mwaka huo. Huduma hii inanuiwa kusimamia upokeaji wa viwango vikubwa vya pesa kutoka kwa wateja wanaohifadhi pesa kwa gharama za chini ambazo hatimaye zitatuwezesha sisi kama taasisi kuongeza uwezo wetu wa utoaji mikopo na kupanua shughuli zetu ili kuafikia mahitaji ya makao yanayozidi kuongezeka. Kando na akaunti ya hundi, kulikuwa na "Connecting Link Club" ambayo ni huduma ya kwanza kwenye masoko ambayo inawafikia wateja wetu wa akaunti ya hundi ambayo imebuniwa kutoa maelezo ya kisasa kuhusu raslimali na uwekezaji wa kisasa, mahitaji, usambazaji , wateja wa siku za usoni, ubunifu na raslimali nyinginezo kwenye biashara hii.

Pia, tuliweka sahihi mkataba wa makubaliano ya uwakala na benki ya Postbank. Ushirikiano huu ulitokana na mojawapo wa mkakati wa taasisi wa kubuni njia ya mchanganyiko wa usambazaji ambao utahudumu kwa muda wa kadri kama chombo cha kugatua soko la rehani kutoka jijini Nairobi hadi kaunti 47 nchini. Kupitia mwamko huu wa upanuzi wa mchanganyiko wa usambazaji wetu, tulizindua huduma ya kuwatembelea wateja nyanjani (Mobile Banking Service) ambayo inawapa fursa wateja wetu kupata huduma zetu mahali popote nchini na kwa wakati wowote.

RIPOTI KUTOKA KWA MENEJA MKURUGENZI

Wakati wa kipindi hiki cha mwaka, tulifanikiwa kuongeza uwepo wetu kwa kufungua tawi mjini Meru na vituo vya mauzo maeneo ya Nyali na Ongata Rongai. Vituo hivi vitatuwezesha kutoa huduma za benki kuanzia ufunguzi wa akaunti, maombi ya huduma ya Mobile Banking, hundi, maombi ya mkopo wa rehani na uuzaji wa raslimali. Kuna mpango wa kuimarisha kituo cha Nyali na kuwa tawi kamili mwaka unaokuja. Maeneo haya ni maarufu sana kwa wawekezaji wa raslimali na yataendelea kuvutia. Tunatarajia kwamba tutashuhuhudia ukuaji wa juu wa biashara.

Vidokezo vya ufadhili

Kwa kutambua kwamba ustawi wa nyumba ni biashara inayohitaji mtaji mkubwa na mbinu imara za ufadhili wa muda mrefu, tuliangazia mbinu mbali mbali za ufadhili kwa lengo la kupanua mseto wa ufadhili wetu. Wakati wa kipindi hiki cha mwaka, tulirejea sokoni kwa awamu ya pili ya uuzaji wa dhamana za hisa. Tuliweza kupata Kshs. bilioni 5.2 dhidi ya matarajio yetu ya Kshs. bilioni 2.9 na kuwakilisha asilimia 79 (79%) zaidi ya hisa zilizonunuliwa. Swala la ununuzi wa hisa liliwavutia wawekezaji wa kibnafsi na taasisi na kudhihrisha imani thabiti katika misingi ya biashara yetu.

Bali na hisa, tuliangazia macho yetu kwa wafadhili wa kimataifa kama njia moja ya kupata mkopo wa muda mrefu kwa gharama ya chini. Kufikia wakati huu, tumeweza kupata mkopo wa miaka mitatu wa Ksh. milioni 850 kutokana benki ya Ghana International Bank PLC (GHIB) yenye makao yake mjini London na mwingine wa Kshs. bilioni 2.2 kutoka European Investment Bank (EIB) kugharamia miradi midogo ya uwekezaji (SMEs) kwa sekta ya ujenzi na kuimarisha biashara ya rehani.

Tutaendelea kuangazia kupata mikopo nafuu ya muda mrefu ili kuwaepusha wateja wetu na mabadiliko ya viwango vya riba.

Mipango ya siku za usoni

Natarajia kwamba vidokezo nilivyowapa vinaashiria matumaini ya kufana ya kampuni siku za usoni.

Tumeweza na tutaendelea kuangazia kuafikia lengo la mkakati wetu la kuimarisha mtaji pamoja na msingi wa wateja wetu. Kwa sasa, tunaangazia kufanikisha vipengele vingine muhimu vya mkakati ambavyo ni:

- Kuimarisha matamaniyo ya wateja wetu kupitia usimamizi wa ushirikiano mbinu ambayo tumezindua na ambayo itazidi kudumu na kuhakikisha kuendelea kuimarishwa kwa matarajio ya wateja.
- Kuwa mchangiaji mkuu wa hazina ya raslimali inayoongezeka kwa kulenga vikundi vya watu wenye mapato madogo na kadri katika masoko ya humu nchini na kukuza bishara ya raslimali kupitia ubia (Joint Ventures) na Kenya Building Society.
- Kuanzisha bidhaa mpya ambazo zitaangazia mahitaji mbali mbali ya wateja wetu kwenye masoko
- Kuendeleza mbinu imara za ushirikiano na jamii kupitia wakfu wa Housing Finance Foundation ambao unabuni maendeleo thabiti ya kiuchumi kwa shirika, jamii tutakayoshughulikia na hatimaye wateja wetu na wanahisa.

Mipango yote iliyotajwa hapo juu inatekelezwa ikiwa na lengo la kuafikia kikamilifu ndoto yetu ya kubadilisha Housing Finance kuwa kiongozi kwa suluhu la raslimali katika kanda. Ni muhimu kufahamu kwamba malengo haya yote yanazinduliwa katika mazingira magumu yanayobadilika kila mara lakini tuna imani kwamba tutakabiliana na changamoto zitakazojitokeza mbele yetu.

Asanteni na kila la heri.

FRANK IRERI, EBS
MENEJA MKURUGENZI

SENIOR MANAGEMENT

1. Frank Ireri – Managing Director
2. Sam Waweru – Director, Finance and Administration
3. Winnie Kathurima-Imanyara – Director, Change and Strategy
4. Cynthia Kantai – Assistant General Manager, Marketing
5. Julius Ngugi – General Manager, Branch Business
6. Joseph Ngare – Assistant General Manager, Internal Audit

SENIOR MANAGEMENT

4

5

6

10

11

12

7. James Karanja – General Manager, Real Estate Investment and Development
8. Geoffrey Kimaita – General Manager, Credit
9. Constantine Barasa – Assistant General Manager, Risk
10. Joseph Kania – Company Secretary & Assistant General Manager, Legal
11. David Maveke – General Manager, Mortgage Finance
12. Caroline Armstrong – General Manager, Shared Services

ACTIVITIES

Launch of the HF Current Account

Housing Finance launches a Current Account in a bid to increase its product offering to its customers. The Housing Finance Current Account is the first current account in the industry that promises to fully cater to our customers property development needs and at the same time provide a link between our customers and the top construction professionals in the housing industry. The event was presided over by the Central Bank of Kenya Governor, Prof. Njuguna Ndung'u.

Komarock Phase 5A Groundbreaking

Through the Kenya Building Society (KBS), Housing Finance started off the construction of 162 maisonettes and an elaborate commercial centre on a piece of land measuring 13 acres in Komarock estate in Nairobi. The estate, Komarock Phase 5A is located approximately 15 kilometers from the city centre and is close to Mama Lucy Kibaki Referral Hospital. The groundbreaking ceremony was presided over by the then Minister of Housing, Mr. Soita Shitanda.

ACTIVITIES

EIB Signing

Housing Finance receives Kshs. 2.2 billion (euro 20 million) from the European Investment Bank. The funds were used to provide financing to small and medium-sized businesses mainly in the property development sector.

Opening of the Rongai and Nyali Sales Centres

Housing Finance launches two (2) Sales & Service Centres that will offer residents of both Ongata Rongai and Nyali services such as, account opening, mobile banking application, cheque deposit, mortgage loan application and property sales. These service centres are expected to bring housing and construction services closer to the customers.

ACTIVITIES

Postbank Agency Agreement Signing

Housing Finance signs an agency banking agreement with Postbank, an agreement that will enable all Housing Finance's customers make deposits and cash withdrawals through any of Post bank's 99 branches. This agreement will also enable Housing Finance expand its geographic coverage in the newly established counties.

Meru Town Clean Up

Housing Finance staff led by the Meru Mayor, Mr. John Mwalimu take to the market streets of Meru (the Gakoromoni Market) for a clean-up exercise that seeks to ensure a hygienic and safe environment for the residents of Meru. The exercise was followed with tree planting along the Meru Town River and is in support of one of our Corporate Social Responsibility pillar that seeks to support and improve the environment.

Launch of the 'Army of 1 Million Artisans Flagship Project'

H.E. Hon. Mwai Kibaki C.G.H., M.P., President and the Commander in Chief of the Defense Forces of the Republic of Kenya officially launch the **'Army of 1 Million Artisans Flagship Project'** by the Housing Finance Foundation. The project that will focus on upgrading the skills of Technical and Vocational Education and Training (TVET) institutions for sustainable economic development. Housing Finance Foundation becomes the first private firm to spearhead a Vision 2030 **flagship** project.

ACTIVITIES

Bond Listing Bell Ringing Ceremony

The Bell Ringing ceremony, presided over by the Central Bank of Kenya Governor Prof. Njuguna Ndung'u was held officially marking the listing of the Housing Finance second tranche Bond Issue. Housing Finance raised Kshs 5.2 billion against a target of Kshs 2.9 billion representing a 79 percent oversubscription.

Laying of the stone at the P.J Plaza development in Mombasa

The P.J Plaza project is a mixed development comprising of residential cum commercial units and is strategically located in one of Mombasa's prime real estate areas – Nyali. The project received a Kshs. 53 million credit facility to go towards its development and is one among many projects in Mombasa financed by Housing Finance.

Staff CSR

Staff engage in building activities as part of our Corporate Social Responsibility Programme. This program is run in partnership with Habitat for Humanity Kenya and aims to assist the less fortunate individuals and communities access dignified shelter. Such initiatives were in the year 2012 done in Meru, Eldama Ravine and Bomet.

REPORT OF THE DIRECTORS FOR THE YEAR ENDED 31 DECEMBER 2012

The directors have pleasure in submitting their report together with the financial statements for the year ended 31 December 2012. The report discloses the state of affairs of the Group and the Company.

1. **Principal activities**

   The company is licensed to operate as a mortgage finance institution under the Banking Act (Cap.488) and seeks to encourage and promote the flow of both private and public savings into financing home ownership.

   The subsidiaries' principal activities are development and selling of residential houses and insurance agency business.

2. **Results and appropriations**

	2012 KShs'000	2011 KShs'000
Gross income	**5,352,701**	**3,755,698**
Profit before taxation		
Housing Finance Company of Kenya Limited	902,001	975,552
Kenya Building Society Limited	574	243
First Permanent (East Africa) Limited	-	-
Housing Finance Insurance Agency	5,056	-
Group profit before taxation	907,631	975,795
Taxation	(164,297)	(353,517)
Profit after taxation	743,334	622,278
Retained profit brought forward	986,848	475,040
	1,730,182	1,097,318
Dividends – Interim Paid	(161,403)	(115,200)
– Final proposed	(161,420)	(161,298)
Transfer from statutory reserve	94,869	166,028
Retained profit carried forward	**1,502,228**	**986,848**

3. **Dividend**

   The directors recommend a final dividend payment of KShs 161,420,000 (2011 – KShs 161,297,500). An interim dividend amounting to KShs 161,403,000 (2011 – KShs 115,200,000) was paid during the year. The total dividend for the year is therefore KShs 1.40 per share (2011 – KShs 1.20), amounting to a total of KShs 322,823,000 (2011 – KShs 276,497,500).

4. **Directors**

   The directors who served during the year are set out on page 2.

5. **Auditors**

   The auditors, KPMG Kenya, continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap.486) and subject to Section 24(1) of the Banking Act (Cap.488).

6. **Approval of financial statements**

   The financial statements set out on pages 37 to 83 were approved at a meeting of the Directors held on 19 February 2013.

BY ORDER OF THE BOARD

Company Secretary

Date: 19 February 2013

RIPOTI YA WAKURUGENZI KWA KIPINDI CHA MWAKA ULIOMALIZIKA 31 DESEMBA 2012

Wakurugenzi wanafuraha kutoa ripoti yao pamoja na taarifa ya hesabu za pesa kwa kipindi cha mwaka uliomalizika 31 Desemba 2012. Ripoti hii inafichua hali ya shughuli za kundi na kampuni.

1. **Shughuli Muhimu**

   Kampuni imepewa leseni kuendesha shughuli za utoaji mikopo wa ujenzi wa nyumba chini ya sheria za benki (kifungu nambari 488) na imejitolea kuhimiza na kusaidia uwekaji akiba kwa watu binafsi na umma ili kugharamia ujenzi wa makao yao.

   Shughuli nyingine ndogo ni pamoja na ustawishaji na uuzaji wa nyumba za kuishi na pia wakala wa biashara za bima.

2. **Matokeo na Matumizi ya pesa**

	2012 KShs'000	2011 KShs'000
Mapato Kwa jumla	**5,352,701**	**3,755,698**
Faida kabla ya ushuru		
Housing Finance Company of Kenya Limited	902,001	975,552
Kenya Building Society Limited	574	243
First Permanent (East Africa) Limited	-	-
Housing Finance Insurance Agency	5,056	-
Faida ya kundi kabla ya ushuru	907,631	975,795
Ushuru	(164,297)	(353,517)
Faida baada ya ushuru	743,334	622,278
Faida iliyohifadhiwa na kuwasilishwa	986,848	475,040
	1,730,182	1,097,318
Mgawo wa faida – uliolipwa awali	(161,403)	(115,200)
– uliopendekezwa mwisho	(161,420)	(161,298)
Kuhamisha kutoka hifadhi ya kisheria	94,869	166,028
Faida iliyohifadhiwa na kuwasilishwa	**1,502,228**	**986,848**

3. **Mgawo wa Faida**

   Wakurugenzi wanapendekeza kutolewa kwa malipo ya mwisho ya mgawo wa faida ya Kshs. 161,420,000 (2011- Kshs. 161,297, 500). Malipo ya muda ya mgawo wa faida ya jumla ya Kshs. 161,403, 000 (2011- Kshs. 115,200,000) yalitolewa kipindi hiki cha mwaka. Kwa sababu hiyo, Jumla ya mgawo wa faida kipindi hiki cha mwaka ni shilingi 1.40 kwa kila hisa (2011 shilingi 1.20) na kuwa jumla ya Kshs. 322,823, 000 (2011 Kshs. 276,497, 500).

4. **Wakurugenzi**

   Wakurugenzi waliohudumu wakati wa kipindi hiki cha mwaka wameelezewa kupitia ukurasa wa pili.

5. **Wakaguzi wa pesa**

   Wakaguzi wa Pesa KPMG Kenya wataendelea mbele na jukumu lao kwa mujibu wa sehemu ya 159 (2) ya sheria za makampuni nchini Kenya (kifungu nambari 486) na kwa kutegemea sehemu ya 24 (1) ya sheria za mabenki (kifungu nambari 488).

6. **Kuidhinishwa kwa Taarifa za Matumizi ya Pesa**

   Taarifa za matumizi ya pesa zilizofafanuliwa kupitia ukurasa wa 37 hadi 83 ziliidhinishwa wakati wa mkutano wa wakurugenzi uliofanyika 19 Februari 2013.

KWA AMRI YA HALMASHAURI

KATIBU WA KAMPUNI

Imenukuliwa 19 Februari 2013

CORPORATE GOVERNANCE

The Board of Housing Finance Company of Kenya Ltd is responsible for the overall management of the Group and is committed to ensuring that its business and operations are conducted with integrity and in compliance with the law, internationally accepted principles and best practices in corporate governance.

In recent years various recommendations have been made in several legal and professional publications in an attempt to determine the most appropriate way for companies to be structured to achieve the highest standards of corporate governance. The Board is committed to full compliance of all the relevant laws including The Guidelines on Corporate Governance (CBK/PG/02) issued by the Central Bank of Kenya in January 2006 under Section 33(4) of the Banking Act and The Guidelines on Corporate Governance Practises by Public Listed Companies in Kenya issued by the Capital Markets Authority in May 2002 under Cap. 485 A of the Capital Markets Authority Act.

1. **The Board of Directors**

   The Board is responsible for drawing and implementing strategies for the long-term success of the company as well as carrying out the fiduciary duty of monitoring and overseeing the activities of management. To this end, the Board meets regularly and has a formal schedule of matters reserved for its decision. These matters include determining and reviewing the strategy of the Company and the Group and overseeing the Group's compliance with statutory and regulatory obligations.

   Notices and agenda for all Board meetings are circulated to all Directors on a timely basis together with the respective documents for discussion.

   Composition of the Board

   The Board is composed of six non-executive Directors including an independent Chairman and one executive Director. Mr. Frank Ireri is the Managing Director. At least a third of the directors are independent and non-executive. The Directors have a wide range of skills and experience and each contributes independent judgement and knowledge to the Board's discussions.

   On appointment, each Director is provided with a comprehensive and tailored induction process covering the Group's business and operations and provided with information relating to their legal and regulatory obligations.

   All non-executive Directors are required to submit themselves for re-election in accordance with the Company's Articles of Association.

2. **Board and Management Committees**

   The Board has constituted 5 sub-committees chaired by Non-Executive Directors, namely Audit, Risk Management, Nomination and Remuneration, Credit and Strategy.

   Audit Committee

   This is composed of three non-executive Directors:

   - David Ansell (Chairman)
   - Shem Migot-Adholla
   - Benson Wairegi

Audit Committee (Continued)

All the members of this committee are non-executive directors. The Board considers that each member has appropriate professional qualifications and brings broad experience and knowledge of financial reporting to the Committee's deliberations.

The Committee reviews and monitors the integrity of the Group's annual and interim financial statements, circulars to shareholders and any formal announcements relating to the Group's financial performance, including significant financial reporting judgements contained within them. The Committee also reviews the appropriateness of the Group's accounting policies, recommendations for provisions against bad or doubtful loans and other credit exposures. Ultimate responsibility for the approval of the annual and interim financial statements rests with the Board.

At least once a year, the Audit Committee meets separately with the external auditor and the Head of Internal Audit without management being present to discuss any issues arising from the audit.

In relation to the Internal Audit function, the Committee's responsibilities include:

- Monitoring and assessing the role and effectiveness of the Internal Audit function and receiving reports on these matters; and
- Considering the appointment, resignation or dismissal of the Head of Internal Audit.

In relation to the Group's external auditor, the Committee's responsibilities include:

- Considering and making recommendations to the Board on the appointment, re-appointment, resignation or dismissal of the external auditor;
- Approving the terms of engagement, nature and scope of the audit; and
- Reviewing the findings of the audit including any major issues that arose during the course of the audit.

Risk Management Committee

This committee is composed of two non-executive Directors and the Managing Director:

- Shem Migot-Adholla (Chairman)
- Arthur Odera Resigned on 19 July 2012
- Adan Mohammed Appointed on 15 October 2012
- Frank Ireri

The Risk Management committee's primary responsibility is to ensure the quality, integrity and reliability of the Group's risk management framework. The Committee reviews and assesses the integrity of the risk control systems and ensures that the risk policies and strategies are effectively managed.

The basic principles of risk management that are followed and enforced through the Risk Management committee include:

- The Board assumes the ultimate responsibility for the level of risks taken by the Group and is responsible to oversee the effective implementation of the risk strategies;
- The organizational risk structure and the functions, tasks and powers of the employees, committees and departments involved in the risk processes are continuously being reviewed to ensure clarity of their roles and responsibilities;
- Risk issues are taken into consideration in all business decisions;
- Identified risks are reported in a transparent and timely manner and in full to the responsible senior management; and
- Appropriate, effective controls exist for all processes entailing risks.

CORPORATE GOVERNANCE *(continued)*

Nomination and Remuneration Committee

The members of the Nomination and Remuneration committee are:

- Peter Munga (Chairman)
- Benson Wairegi
- Frank Ireri

All the committee members are independent non-executive directors with the exception of the Managing Director.

The Committee's responsibilities include:

- Reviewing the structure, size and composition of the Board to ensure the optimum balance of skills, knowledge and experience taking into account the opportunities and challenges which face the Group;
- Identifying and nominating for the approval of the Board a suitable candidate for any Board vacancy which may arise;
- Monitoring the development of succession plans for the Group relating to senior executive management;
- Reviewing the emoluments of both executive and non executive Directors, and senior management.

This Committee carries out a peer and self-evaluation of the Board and its committees to assess their contribution and also to ensure that there is the requisite mix of skills and experience available to effectively discharge their duties.

Credit Committee

This is a Board Committee comprising of three Non-Executive Directors:

- David Ansell (Chairman)
- Steve O Mainda
- Arthur Odera Resigned on 19 July 2012
- Adan Mohammed Appointed on 15 October 2012

The primary responsibilities of the Board Credit Committee are:

- Review and oversee the overall Credit policy and ensure that the risk lending limits are reviewed annually as and when the environment so dictates;.
- Deliberate and consider loan applications beyond the limits of Management Lending Committee;
- Direct, monitor, review and consider all issues that may materially impact on the present and future quality of the Company's credit risk management;
- Ensure that the credit policy sets out acceptable levels of exposure to the various economic sectors, currencies and maturities as well as target markets, diversification and concentration of the credit portfolio.

Board Strategy Committee

This committee is composed of four Non-Executive Directors and the Managing Director.

- Benson Wairegi (Chairman)
- Steve Mainda
- Peter K Munga
- Arthur Odera Resigned on 19 July 2012
- Adan Mohammed Appointed on 15 October 2012
- Frank Ireri

The principal roles of the committee are to:

- Oversee the implementation of the Group's strategy;
- Approve and participate in the annual strategy review process;
- Approve all key strategic initiatives including but not limited to; appointment of consultants, capital & revenue expenditure and investments.

CORPORATE GOVERNANCE *(continued)*

Attendance of Individual Directors

The following table shows the number of Board meetings held during the year and the attendance of individual directors:

Board meetings attendance for the year ended 31 December 2012	Board meetings				Total attendance
Date	21/2	24/4	17/7	27/10	
Steve Mainda	√	√	√	√	4
David R. Ansell	√	√	√	√	4
Benson Wairegi	√	√	√	√	4
Peter Munga	√	√	√	√	4
Shem Migot- Adholla	√	√	√	√	4
Arthur P. Odera	√	X	X	N/A	1
Adan D. Mohamed	N/A	N/A	N/A	X	0
Frank Ireri	√	√	√	√	4

√ Attended

x Absent with apology

A number of Management committees have been established by the Board to oversee operations in some critical areas. These are Executive committee (EXCO), Asset and Liability committee (ALCO), Risk Management committee, Lending committee, Arrears Management committee, Information Technology Steering committee and Management Strategy committee (STRATCOM). The Board appoints other committees as and when necessary.

3. **Board effectiveness evaluation**

To assess the performance of the Board, its committees and individual directors, the Board conducts a rigorous performance evaluation each year. The process is led by the Chairman and supported by the Company Secretary.

In February 2013, the Directors completed the annual evaluation that covered a self-evaluation, evaluation of the Chairman and the overall Board. The conclusion of the evaluation was that the Board operated effectively. The results of the evaluation were submitted to the Central Bank of Kenya.

The Nomination & Remuneration Committee approved an evaluation process for non-executive directors, which entails conducting one to one meetings with the non-executive directors to discuss their performance and contribution.

4. **Internal audit function**

The Group has a fully operational internal audit function that is led by a senior member of staff who is a member of the Institute of Certified Public Accountants of Kenya. Internal Audit monitors compliance with policies and standards and the effectiveness of internal control structures across the Group through its audit programmes.

CORPORATE GOVERNANCE *(continued)*

5. **Communication with shareholders**

The company is committed to:

- Ensuring that shareholders and the financial markets are provided with full and timely information about its performance; and
- Compliance with regulations and obligations applicable to the Securities Exchange and the Capital Markets Authority.

Information is disseminated to the shareholders through an annual report and press notices following the release of quarterly, half yearly and annual results. Press releases on significant developments are also reported.

6. **Directors benefits and loans**

All the non-executive Directors have continued to receive Directors' fees. The aggregate amount of Directors' fees is disclosed in Note 10 to the financial statements.

7. **Major shareholders as at 31 December 2012**

	Name	No of shares	% age shareholding
1	Equity Bank Ltd	57,270,000	24.84%
2	Equity Nominees Ltd A/C 00104	23,352,293	10.13%
3	British American Insurance Company (Kenya) Ltd	20,416,245	8.85%
4	National Social Security Fund	15,716,448	6.82%
5	Permanent Secretary Treasury	8,422,850	3.65%
6	Equity Nominees Ltd A/C 00100	5,249,707	2.28%
7	The Jubilee Insurance Company of Kenya Limited	2,514,772	1.09%
8	Ndungu Paul Wanderi	2,480,900	1.08%
9	Kestrel Capital Nominees Ltd A/C TERRA	1,817,900	0.79%
10	Kibuwa Enterprises Limited	1,491,858	0.65%
	TOTAL	**138,732,973**	**60.18%**

8. **Distribution of shareholders as at 31 December 2012**

Number of shares	No. of shareholders	No. of shares held	% age shareholding
1-500	9,839	2,716,625	1.18%
501-1,000	4,764	4,101,417	1.78%
1,001-10,000	13,034	36,624,059	15.88%
10,001-50,000	1,049	20,614,950	8.94%
50,001-100,000	107	7,677,775	3.33%
100,001-1,000,000	75	17,777,051	7.71%
Over 1,000,000	12	141,088,123	61.18%
TOTAL	**28,880**	**230,600,000**	**100%**

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the financial statements of Housing Finance Company of Kenya Limited set out on pages 37 to 83 which comprise the statements of financial position of the Group and the Company at 31 December 2012, and the Group's statement of comprehensive income, Group's and Company statement of changes in equity and Group's statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the financial statements in the circumstances, preparation and presentation of financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act the Directors are required to prepare financial statements for each financial year which give a true and fair view of the state of affairs of the Group and the Company as at the end of the financial year and of the operating results of the Group for that year. It also requires the Directors to ensure the Group keeps proper accounting records which disclose with reasonable accuracy the financial position of the Group and the Company.

The Directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act. The Directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the Group and the Company and of the Group operating results.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

The Directors have made an assessment of the Group and the Company's ability to continue as a going concern and have no reason to believe the Group and the Company will not be a going concern for at least the next twelve months from the date of this statement.

Approval of the financial statements

The financial statements, as indicated above, were approved by the Board of Directors on 19 February 2013 and were signed on its behalf by:

Director

Director

TAARIFA KUHUSU WAJIBU WA WAKURUGENZI

Wakurugenzi wana wajibu wa kuandaa na kutoa taarifa ya matumizi ya pesa ya Housing Finance Company of Kenya Limited kama ilivyoelelezewa katika Ukurasa 37 hadi 83 ambayo inajumuisha hali ya kifedha ya kundi na kampuni kufikia 31 Desemba 2012 na taarifa ya kina ya kundi kuhusiana na mapato, taarifa ya kampuni kuhusu mabadiliko ya umiliki wa hisa na mtiririko wa fedha kwa kipindi cha mwaka uliomalizika na pia muhtasari wa vipengele muhimu vya sera za uhasibu miongoni mwa vidokezo vingine.

Wajibu wa wakurugenzi unahusisha: kuhakikisha kwamba mbinu iliyotumika ya uhasibu kama ilivyofafanuliwa kupitia dokezo la 2 ni mbinu inayokubalika kuandaa na kutoa taarifa ya matumizi ya pesa kulingana na hali ilivyo, kuandaa na kutoa taarifa ya matumizi ya pesa kwa mujibu wa viwango vya kimataifa na kwa njia ambayo inakubalika na sheria za vyama nchini ; na kwa hali ambayo itathibiti ukaguzi wa ndani ambao wakurugenzi wataona unafaa kuwezesha kutekelezwa kwa matayarisho ya taarifa ya matumizi ya pesa ambayo haina udanganyifu wowote, hila au makosa.

Chini ya sheria za makampuni nchini Kenya, wakurugenzi wanahitajika kuandaa taarifa ya matumizi ya pesa kwa kila kipindi cha matumizi ya pesa ambayo itatonyesha sura halisi ya mwelekeo wa kundi na kampuni kufikia mwisho wa kipindi hicho na pia matokeo ya shughuli mwaka huo. Pia, inawahitaji wakurugenzi kuhakikisha kwamba kundi linahifadhi vyema rekodi za hesabu ambazo zitafichua makisio ya maana ya kifedha ya kampuni na kundi.

Wakurugenzi hukubali kuchukua jukumu kuhusu taarifa ya ukaguzi wa pesa ambayo imetayarishwa kwa kuzingatia sera za ukaguzi wa pesa zinazohitajika na kuungwa mkono na uhakiki wa maana na makisio yanayofaa kufungamana na viwango vya kimataifa na kwa mujibu unaolingana na sheria za makampuni nchini Kenya .Wakurugenzi wanakubaliana kwa kauli moja kwamba, taarifa ya ukaguzi wa pesa inaonyesha hali halisi kuhusiana na maswala ya kifedha na matokeo ya shughuli za kundi na kampuni.

Zaidi ya hayo, wakurugenzi wanakubali kuchukua jukumu la kudumisha rekodi za ukaguzi wa pesa zinazoweza kutegemewa wakati wa kuandaa taarifa ya hesabu pamoja na taratibu za kuthibiti ukaguzi wa ndani wa fedha.

Wakurugenzi wametekeleza tathmini ya kundi na uwezo wa kampuni kuendelea na shughuli zake na hawana tashwishi kuamini kwamba kundi na kampuni zitaweza kuendelea mbele bila kusitisha shughuli zao kwa kipindi cha miezi kumi na mbili ijayo kuanzia siku ya kutolewa kwa taarifa hii.

Kuidhinishwa Kwa Taarifa ya Matumizi ya Pesa

Taarifa ya matumizi ya pesa iliyoonyeshwa hapo juu iliidhinishwa na halmashauri ya Wakurugenzi 19 Februari 2013 na kutiwa sahihi kwa niaba yake na :-

Mkurugenzi

Mkurugenzi

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF HOUSING FINANCE COMPANY OF KENYA LIMITED

We have audited the Group financial statements of Housing Finance Company of Kenya Limited set out on pages 37 to 83 which comprise the statement of financial positions of the Group and the Company at 31 December 2012, and the Group's statement of comprehensive income, Group and Company statement of changes in equity and Group statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

As stated on page 33, the company's directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards, and in the manner required by the Companies Act of Kenya, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company at 31 December 2012, and the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

(i) We have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit;

(ii) In our opinion, proper books of account have been kept by the Company, so far as appears from our examination of those books; and

(iii) The statement of financial position of the Company is in agreement with the books of account.

KPMG Kenya

KPMG

KPMG KENYA, CERTIFIED PUBLIC ACCOUNTANTS
P.O. BOX 40612-00100 NAIROBI GPO

Date: 19 February 2013

RIPOTI KUTOKA KWA WAKAGUZI WA PESA WA KUJITEGEMEA KWA WANACHAMA WA HOUSING FINANCE COMPANY OF KENYA LIMITED

Tumetayarisha ukaguzi kuhusu taarifa ya matumizi ya pesa ya Housing Finance Company of Kenya Limited kama ilivyochapishwa kupitia ukurasa wa 37 hadi 83. Taarifa hii inajumuisha hali ya kifedha ya kundi na kampuni kufikia 31 Desemba 2012 pamoja na taarifa ya kina kuhusu mapato, kundi na taarifa zinazohusiana na mabadiliko ya umiliki wa hisa na mtiririko wa pesa kwa kipindi cha mwaka uliomalizika na muhtasari wa sera muhimu za ukaguzi wa pesa pamoja na maelezo mengine.

Wajibu wa Wakurugenzi Kuhusiana na Taarifa ya Matumizi ya Pesa

Kama ilivyoelezwa kupitia ukurasa wa 34, wakurugenzi wa Kampuni wana jukumu la kuandaa na kutoa taarifa iliyo sawa ya matumizi haya ya pesa kwa mujibu wa viwango vya kimataifa na kwa njia inayohitajika na sheria za makampuni nchini Kenya na kwa ukaguzi wa ndani wa pesa ambao wakurugenzi wataona unafaa kuwezesha utayarishaji wa taarifa za matumizi ya pesa ambazo hazina udanganyifu wowote iwe ni ni kwa udanganyifu au makosa.

Wajibu wa Wakaguzi wa Pesa

Wajibu wetu ni kutoa maoni kuhusiana na taarifa hii ya matumizi ya pesa kwa mujibu wa ukaguzi wetu. Tulifanya ukaguzi wetu kwa mujibu wa viwango vya kimataifa. Viwango hivyo vinatuhitaji kuzingatia maadili muhimu, kupanga na kutekeleza ukaguzi wa pesa ili kupata uhakika wa maana kuwa taarifa ya ukaguzi haina udanganyifu wowote.

Ukaguzi wa pesa unahusisha uzingatiaji wa hatua ili kupata ushahidi wa idadi na fichuzi katika taarifa ya matumizi ya pesa. Hatua zilizoteuliwa zinategemea uamuzi wetu ukiwemo kukadiriaji hatari za udanganyifu katika taarifa iwe ni kutokana na hila au makosa. Wakati wa ukadiriaji huo, tunazingatia uthibiti wa ndani unaohusiana na maandalizi ya taarifa iliyo sawa ya matumizi ya pesa ili kubuni taratibu za ukaguzi zinazohitajika lakini si kwa kutoa maoni kuhusiana na sera za uhasibu zilizotumika na makadirio ya maana ya uhasibu yaliyoandaliwa na wasimamizi pamoja na kukadiria kwa jumla mtazamo kamili wa taarifa ya pesa.

Tunaamini kwamba ushahidi kuhusu ukaguzi wa pesa tuliopata unatosha na unafaa kutupatia msingi wa maoni yetu.

Maoni

Kwa maoni yetu, taarifa za matumizi ya pesa zinatoa mtazamo wa kweli na halisi kuhusu hali ya kifedha ya kundi na kampuni kufikia 31 Desemba 2012 na pia matokeo ya kifedha ya kundi na mtiririko wa pesa mwaka uliomalizika kuambatana na viwango vya kimataifa na sheria za makampuni nchini Kenya kuhusu utoaji wa ripoti za ukaguzi wa pesa.

Ripoti Kuhusu Mahitaji Mengine ya kisheria

Kama inavyohitajika kupitia sheria za makampuni nchini Kenya na kwa kutegemea ukaguzi wetu wa pesa, tunaripoti kwenu kwamba;

(i) Tumekusanya maelezo na fafanuzi zote ambazo kwa ufafahamu na imani yetu zilikuwa muhimu kwa madhumuni ya ukaguzi huu.

(ii) Kwa maoni yetu, Kampuni imekuwa ikihifadhi vyema rekodi ya vitabu vya hesabu kama inavyoonyesha kupitia ufafanuzi wa vitabu hivyo; na

(iii) Taarifa ya kifedha kuhusu hali ya kampuni inawiana na vitabu vya kuhifadhi hesabu

KPMG Kenya

KPMG KENYA, CERTIFIED PUBLIC ACCOUNTANTS
P.O. BOX 40612-00100 NAIROBI GPO

Imenukuliwa tarehe: 19 Februari 2013

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 2012

	Note	2012 KShs'000	2011 KShs'000
Interest income	7	5,068,815	3,464,079
Interest expense	7	(3,118,780)	(1,562,517)
Net interest income		1,950,035	1,901,562
Impairment losses on mortgage advances	18(c)	(197,766)	(186,297)
Net interest income after impairment losses on mortgage advances		**1,752,269**	**1,715,265**
Non interest income	8	283,886	291,619
Non interest expenses	9	(1,128,524)	(1,031,089)
Profit before taxation	10	907,631	975,795
Income tax expense	11	(164,297)	(353,517)
Net profit after tax for the year		**743,334**	**622,278**
Other comprehensive income			
Change in fair value of available-for-sale investments	34(e)	(2,503)	(34,000)
Revaluation of property and equipment	24	-	63,129
Total comprehensive income for the year		**740,831**	**651,407**
Basic and diluted earnings per share	12	**KShs 3.22**	**KShs 2.70**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2012

	Note	2012 KShs'000	2011 KShs'000
ASSETS			
Cash and balances with Banks	15	1,454,359	384,034
Placements with other banks	16	6,395,958	4,724,183
Investment in Government securities	17	723,616	379,847
Mortgage advances to customers (Net)	18(a)	30,293,711	25,222,836
Investment in Joint Venture	19	86,700	-
Other assets	21	384,425	246,178
Equity investments	22	60,000	56,000
Housing development projects	23	442,055	20,130
Property and equipment	24(a)	716,708	705,208
Prepaid operating lease rentals	25	47,329	47,973
Intangible assets	26	9,923	2,578
Tax recoverable		69,156	-
Deferred tax asset	27(a)	272,637	81,949
TOTAL ASSETS		**40,956,577**	**31,870,916**
LIABILITIES			
Customers' deposits	29	22,937,649	18,671,586
Other liabilities	30	784,326	329,927
Tax payable		-	135,934
Loans from banks	31	1,702,834	847,507
Borrowed funds	32	181,891	-
Corporate bond	33	10,212,633	7,168,598
		35,819,333	**27,153,552**
SHAREHOLDERS' EQUITY			
Share capital	34	1,153,000	1,152,125
Reserves (Page 41 & 42)		3,933,494	3,514,489
Shareholders' income notes and loans	35	50,750	50,750
		5,137,244	**4,717,364**
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**40,956,577**	**31,870,916**

The financial statements set on pages 37 to 83 were approved by the Board of Directors on 19 February 2013 and were signed on its behalf by:

Director:

Director:

Director:

Company Secretary:

The notes set out on pages 45 to 83 form an integral part of these financial statements.

COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2012

	Note	2012 KShs'000	2011 KShs'000
ASSETS			
Cash and balances with banks	15	1,454,346	384,022
Placement with other banks	16	6,395,958	4,724,183
Investment in Government securities	17	723,616	379,847
Mortgage advances to customers (Net)	18(a)	30,293,711	25,222,836
Investment in subsidiaries	19	255,120	130,020
Other assets	21	388,032	250,300
Equity investments	22	60,000	56,000
Investment in Joint Venture	19	86,700	-
Property and equipment	24(b)	710,769	699,208
Prepaid operating lease rentals	25	40,787	41,249
Intangible assets	26	9,923	2,571
Tax recoverable		46,773	-
Deferred tax asset	27(b)	220,193	81,877
TOTAL ASSETS		**40,685,928**	**31,972,113**
LIABILITIES			
Customers' deposits	29	22,968,209	18,674,421
Amounts due to subsidiary company	20	100	14,958
Other liabilities	30	656,334	324,374
Loans from banks	31	1,702,834	847,507
Corporate bond	33	10,212,633	7,168,598
Tax payable		-	160,037
		35,540,110	**27,189,895**
SHAREHOLDERS' EQUITY			
Share capital	34	1,153,000	1,152,125
Reserves (Page 43 & 44)		3,942,068	3,579,343
Shareholders' income notes and loans	35	50,750	50,750
		5,145,818	**4,782,218**
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY		**40,685,928**	**31,972,113**

The financial statements set on pages 37 to 83 were approved by the Board of Directors on 19 February 2013 and were signed on its behalf by:

Director:

Director:

Director:

Company Secretary:

The notes set out on pages 45 to 83 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2012

	Note	2012 KShs'000	2011 KShs'000
Net cash flows from operating activities	36(a)	**2,201,041**	**(2,812,166)**
INVESTING ACTIVITIES			
Purchase of property and equipment		(75,230)	(88,829)
Purchase of equity investments		-	(90,000)
Investment in Joint Venture		(86,700)	-
Purchase of intangible assets		(10,131)	(2,021)
Proceeds from sale of equipment		912	2,548
Net cash flow from investing activities		**(171,149)**	**(178,302)**
FINANCING ACTIVITIES			
Employee Share Ownership Plan		1,750	4,250
Dividend paid		(319,798)	(192,221)
Net cash flow from financing activities		**(318,048)**	**(187,971)**
Net increase in cash and cash equivalents	36(b)	**1,711,844**	**(3,178,439)**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2011

2011:	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for-sale reserve KShs'000	Total KShs'000
At 1 January 2011	1,150,000	449,202	1,549,173	80,500	502,742	475,040	-	4,206,657
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	622,278	-	622,278
Revaluation of assets	-	63,129	-	-	-	-	-	63,129
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(34,000)	(34,000)
Transfer from statutory reserve	-	-	-	-	(166,028)	166,028	-	-
Total comprehensive income	**-**	**63,129**	**-**	**-**	**(166,028)**	**788,306**	**(34,000)**	**651,407**
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,125	-	2,125	-	-	-	-	4,250
Dividend paid - 2010	-	-	-	(80,500)	-	-	-	(80,500)
Interim dividend paid - 2011	-	-	-	-	-	(115,200)	-	(115,200)
Proposed dividends	-	-	-	161,298	-	(161,298)	-	-
Total transactions with owners for the year	**2,125**	**-**	**2,125**	**80,798**	**-**	**(276,498)**	**-**	**(191,450)**
Balance as at 31 December 2011	**1,152,125**	**512,331**	**1,551,298**	**161,298**	**336,714**	**986,848**	**(34,000)**	**4,666,614**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

2012:	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for-sale reserve KShs'000	Total KShs'000
At 1 January 2012	1,152,125	512,331	1,551,298	161,298	336,714	986,848	(34,000)	4,666,614
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	743,334	-	743,334
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(2,503)	(2,503)
Transfer from statutory reserve	-	-	-	-	(94,869)	94,869	-	-
Total comprehensive income	**-**	**-**	**-**	**-**	**(94,869)**	**838,203**	**(2,503)**	**740,831**
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	875	-	875	-	-	-	-	1,750
Dividend paid - 2011	-	-	-	(161,298)	-	-	-	(161,298)
Interim dividend paid - 2012	-	-	-	-	-	(161,403)	-	(161,403)
Proposed dividends	-	-	-	161,420	-	(161,420)	-	-
Total transactions with owners for the year	**875**	**-**	**875**	**122**	**-**	**(322,823)**	**-**	**(320,951)**
Balance as at 31 December 2012	**1,153,000**	**512,331**	**1,552,173**	**161,420**	**241,845**	**1,502,228**	**(36,503)**	**5,086,494**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2011

2011:	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for-sale reserve KShs'000	Total KShs'000
At 1 January 2011	1,150,000	449,202	1,549,173	80,500	502,742	487,164	-	4,218,781
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	675,008	-	675,008
Revaluation of assets	-	63,129	-	-	-	-	-	63,129
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(34,000)	(34,000)
Transfer from statutory reserve	-	-	-	-	(166,028)	166,028	-	-
Total comprehensive income	**-**	**63,129**	**-**	**-**	**(166,028)**	**841,036**	**(34,000)**	**704,137**
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	2,125	-	2,125	-	-	-	-	4,250
Dividend paid - 2010	-	-	-	(80,500)	-	-	-	(80,500)
Interim dividend paid - 2011	-	-	-	-	-	(115,200)	-	(115,200)
Proposed dividends	-	-	-	161,298	-	(161,298)	-	-
Total transactions with owners for the year	**2,125**	**-**	**2,125**	**80,798**	**-**	**(276,498)**	**-**	**(191,450)**
Balance as at 31 December 2011	**1,152,125**	**512,331**	**1,551,298**	**161,298**	**336,714**	**1,051,702**	**(34,000)**	**4,731,468**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

COMPANY STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

2012:	Share capital KShs'000	Revaluation reserve KShs'000	Share premium KShs'000	Proposed dividends KShs'000	Statutory reserve KShs'000	Retained profits KShs'000	Available-for-sale reserve KShs'000	Total KShs'000
At 1 January 2012	1,152,125	512,331	1,551,298	161,298	336,714	1,051,702	(34,000)	4,731,468
Total comprehensive income for the year								
Net profit after taxation	-	-	-	-	-	687,053	-	687,053
Change in fair value of available-for-sale investments	-	-	-	-	-	-	(2,503)	(2,503)
Transfer from statutory reserve	-	-	-	-	(94,869)	94,869	-	-
Total comprehensive income	**-**	**-**	**-**	**-**	**(94,869)**	**781,922**	**(2,503)**	**684,550**
Transactions with owners, recorded directly in equity								
Employee Share Ownership Plan	875	-	875	-	-	-	-	1,750
Dividend paid - 2011	-	-	-	(161,298)	-	-	-	(161,298)
Interim dividend paid - 2012	-	-	-	-	-	(161,403)	-	(161,403)
Proposed dividends	-	-	-	161,420	-	(161,420)	-	-
Total transactions with owners for the year	**875**	**-**	**875**	**122**	**-**	**(322,823)**	**-**	**(320,951)**
Balance as at 31 December 2012	**1,153,000**	**512,331**	**1,552,173**	**161,420**	**241,845**	**1,510,801**	**(36,503)**	**5,095,067**

The notes set out on pages 45 to 83 form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012

1. REPORTING ENTITY

Housing Finance is incorporated as a limited company in Kenya under the Kenyan Companies Act, and is domiciled in Kenya. The address of the company's registered office is shown on Page 2. The consolidated financial statements of the Group as at and for the year ended 31 December 2012 include the company and its subsidiaries (together referred as the "Group" and individually as "Group entities"). The Group is primarily involved in mortgage lending.

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRSs) and in compliance with the Kenyan Companies Act.

(b) Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis except where otherwise stated in the accounting policies below.

(c) Functional and presentation currency

These consolidated financial statements are presented in Kenya shillings (KShs), which is the Group's functional currency.

Items included in the financial statements are measured using the currency of primary economic environment in which the entity operates i.e. Kenya shillings. Except as otherwise indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand (KShs'000).

(d) Use of estimates and judgements

The preparation of financial statements requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, incomes and expenses. Actual results may ultimately differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

In particular, information about significant areas of estimation and critical judgements in applying accounting policies that have the most significant effect on the amount recognised in the financial statements is described in Note 6.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all years presented on these financial statements and have been applied consistently by the Group.

(a) Consolidation principles

The consolidated financial statements comprise the financial statements of the parent company and its subsidiaries made up to 31 December 2012. Subsidiaries are entities controlled by the company. Control exists when the company has power, directly or indirectly, to govern the financial and operating policies so as to obtain benefits from its activities. In assessing control, potential voting right that presently are exercisable are taken into account. A listing of the subsidiaries is set out on Note 19.

The accounting policies of subsidiaries have been changed where necessary to align them with the accounting policies adopted by the Group.

Transactions eliminated on consolidation

Intra-group balances, and income and expenses (except for foreign currency transaction gains or losses) arising from intra-group transactions, are eliminated in preparing the consolidated financial statements. Unrealised losses are eliminated in the same way as unrealised gains, but only to the extent that there is no evidence of impairment.

(b) Revenue recognition

Income is recognised on an accrual basis.

(i) Interest

Interest income and expense are recognised in profit or loss using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial asset or liability (or, where appropriate, a shorter period) to the carrying amount of the financial asset or liability. The effective interest rate is established on initial recognition of the financial asset and liability and is not revised subsequently.

The calculation of the effective interest rate includes all fees paid or received, transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or liability.

Interest income and expense presented in the statement of comprehensive income include:

- interest on financial assets and liabilities at amortised cost on an effective interest rate basis; and,
- interest on available-for-sale investment securities on an effective interest basis.

(ii) Non interest income

i. Fees and commission income

Fees and commission income that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, are recognised as the related services are performed.

ii. Other income

Other income comprises of rental income, gains on disposal of equipment, other operating income and foreign exchange differences. Other income is recognized when the right to receive income is established.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES *(Continued)*

(c) Foreign currency transactions

Transactions in foreign currencies during the year are converted into Kenya Shillings at the rates ruling at the transaction dates. Monetary assets and liabilities at the reporting date which are expressed in foreign currencies are translated into Kenya shillings at rates ruling at the reporting date. The resulting realised and unrealised differences from conversion and translations are recognised in the statement of comprehensive income. Non-monetary assets and liabilities denominated in foreign currency are recorded at the exchange rate ruling at the date of the transaction.

(d) Property and equipment

(i) Recognition and measurement

All categories of property and equipment are initially recorded at cost. Property and equipment is subsequently shown at a revalued amount, being its fair value at the date of revaluation less any subsequent accumulated depreciation and impairment losses. Valuations are performed by external independent valuers. Purchased software that is integral to the functioning of related equipment is capitalized as part of that equipment. Increases in the carrying amount arising on revaluation are credited to other comprehensive income. Decreases that offset previous increases of the same asset are charged against the revaluation surplus; all other decreases are charged to the statement of comprehensive income.

The cost of replacing a component of an item of property and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the group and its cost can be measured reliably. The carrying amount of the replaced item is derecognized. The cost of day to day servicing of property and equipment are recognized in the profit and loss.

(ii) Depreciation

Freehold land is not depreciated.

Depreciation is calculated on a straight line basis to allocate the cost or revalued amount to their residual values over their estimated useful lives as follows:

Computers	20%
Motor vehicles	20%
Office equipment, fixtures and fittings	5% - 20%

Buildings on leasehold land are depreciated over the remaining period of the lease. Buildings on freehold land are depreciated over fifty years.

Depreciation method, useful lives and residual values are reassessed at the reporting date.

(iii) Disposal of property and equipment

Gains and losses on disposal of property and equipment are determined by reference to the carrying amount and are recognised in the statement of comprehensive income in the period in which they arise.

(e) Intangible assets

Where computer software is not an integral part of the related computer hardware it is recognised as an intangible asset. The software are stated on the statement of financial position at costs less accumulated amortisation and impairment losses. Subsequent expenditure on software assets is capitalised only when it increases the future economic benefit embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software costs are amortised over the estimated useful life, currently estimated at five (5) years, on a straight line basis from the date they are available for use.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES *(Continued)*

(f) Leases

Leases where a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases arrangements (whether pre-paid or post-paid) are charged to the statement of comprehensive income on a straight-line basis over the period of the lease.

(g) Employee benefits

(i) Employee Retirement Benefits Plan

The Group operates a defined contribution scheme whose funds are held in a separate trustee administered and guaranteed scheme managed by an approved insurance company. The pension plan is funded by contributions from the employees and the Group. The Group's contributions are charged to the statement of comprehensive income in the year to which they relate.

The employees and the Group also contribute to the National Social Security Fund, a national retirement benefit scheme. Contributions are determined by the local statute and the Group's contributions are charged to the statement of comprehensive income in the year to which they relate. The Group has no further obligation once the contributions have been paid.

(ii) Employee Share Ownership Plan (ESOP)

The grant date fair value of equity-settled share-based payment awards (i.e. stock options) granted to employees is recognised as an employee expense, with a corresponding increase in equity, over the period in which the employees unconditionally become entitled to the awards. The amount recognised as an expense is adjusted to reflect the number of share awards for which the related service and non-market performance vesting conditions are expected to be met such that the amount ultimately recognised as an expense is based on the number of share awards that do meet the related service and non-market performance conditions at the vesting date. For share-based payment awards with non-vesting conditions, the grant-date fair value of the share-based payment is measured to reflect such conditions and there is no true-up for differences between expected and actual outcomes.

(iii) Accrued leave

Accrual for annual leave is made as employees earn it and reduced when taken.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised if the Group has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(v) Short-term benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

A provision is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Group has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES *(Continued)*

(h) Taxation

Tax on the operating results for the year comprises current tax and the change in deferred tax. Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognized in respect of temporary differences between carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes except differences relating to the initial recognition of assets or liabilities which affect neither accounting nor taxable profit.

A deferred tax asset is recognised for unused tax losses and deductible temporary differences to the extent that it is probable that future taxable profit will be available against which the tax asset can be utilised. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised. Deferred tax is calculated on the basis of the tax rates enacted at the reporting date.

(i) Cash and cash equivalents

Cash and cash equivalents include notes and coins at hand, unrestricted balances held with Central Bank of Kenya, balances with commercial banks and highly liquid financial assets with original maturities of less than three months, which are subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

Cash and cash equivalents are carried at amortised cost in the statement of financial position.

(j) Financial assets and liabilities

(i) Recognition

The Group initially recognises loans and advances, deposits and debt securities on the date at which they are originated. All other financial assets and liabilities (including assets designated at fair value through profit and loss) are initially recognised on the trade date at which the Group becomes a party to the contractual provision of the instrument.

A financial asset or liability is initially measured at fair value plus (for an item not subsequently measured at fair value through profit or loss) transaction costs that are directly attributable to its acquisition or issue.

Subsequent to initial recognition, financial liabilities (deposits and debt securities) are measured at their amortized cost using the effective interest method except where the group designates liabilities at fair value through profit and loss.

(ii) Classification

The Group classifies its financial assets in the following categories: financial assets at fair value through profit or loss; loans and receivables; held-to-maturity investments; and available-for-sale financial assets. Management determines the classification of its investments at initial recognition.

i) Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading, and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management.

ii) Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money directly to a debtor with no intention of trading the receivable. These include mortgage advances to customers, staff loans and placements with other banks. Loans and advances are initially measured at fair value plus incremental direct transaction costs, and subsequently measured at their amortised cost using the effective interest method.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES *(Continued)*

(j) Financial assets and liabilities *(Continued)*

(ii) Classification (Continued)

iii) Held-to-maturity

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group's management has the positive intention and ability to hold to maturity. Were the Group to sell other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and reclassified as available for sale. These include treasury bills, treasury bonds and government stock.

iv) Available-for-sale

Available for sale financial assets are those non derivative financial assets that are designated as available for sale or are not classified as (a) loans and receivables (b) held –to-maturity or (c) financial assets at fair value through profit and loss. Available for sale financial assets are recognized initially at fair value plus any directly attributable transaction costs

Subsequent to initial recognition, they are measured at fair value and changes therein, other than impairment losses and foreign currency differences on available for sale debt instruments are recognized in other comprehensive income and presented in the fair value reserve in equity. When an investment is derecognized, the gain or loss accumulated in equity is re-classified to profit or loss.

(iii) Identification and measurement of impairment of financial assets

At each reporting date the Group assesses whether there is objective evidence that financial assets not carried at fair value through profit or loss are impaired. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset, and that the loss event has an impact on the future cash flows on the asset than can be estimated reliably.

The Group considers evidence of impairment at both a specific asset and collective level. All individually significant financial assets are assessed for specific impairment. All significant assets found not to be specifically impaired are then collectively assessed for any impairment that has been incurred but not yet identified. Assets that are not individually significant are then collectively assessed for impairment by grouping together financial assets (carried at amortised cost) with similar risk characteristics.

Objective evidence that financial assets (including equity securities) are impaired can include default or delinquency by a borrower, restructuring of a loan or advance by the Group on terms that the Group would otherwise not consider, indications that a borrower or issuer will enter bankruptcy, the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the group.

In assessing collective impairment the Group uses historical trends of the probability of default, timing of recoveries and the amount of loss incurred, adjusted for management's judgement as to whether current economic and credit conditions are such that the actual losses are likely to be greater or less than suggested by historical trends. Default rate, loss rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure that they remain appropriate.

Impairment losses on assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the assets' original effective interest rate. Losses are recognised in the statement of comprehensive income and reflected in an allowance account against loans and advances. Interest on the impaired asset continues to be recognised through the unwinding of the discount.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

3. SIGNIFICANT ACCOUNTING POLICIES *(Continued)*

(j) Financial assets and liabilities *(Continued)*

(iii) Identification and measurement of impairment of financial assets (Continued)

Impairment losses on assets carried at amortised cost are measured as the difference between the carrying amount of the financial assets and the present value of estimated cash flows discounted at the assets' original effective interest rate. Losses are recognised in the statement of comprehensive income and reflected in an allowance account against loans and advances. Interest on the impaired asset continues to be recognised through the unwinding of the discount.

When a subsequent event causes the amount of impairment loss to decrease, the impairment loss is reversed through statement of comprehensive income.

Impairment losses on available-for-sale investment securities are recognised by transferring the difference between the amortised acquisition cost and current fair value out of equity to the statement of comprehensive income. When a subsequent event causes the amount of impairment loss on an available-for-sale debt security to decrease, the impairment loss is reversed through statement of comprehensive income.

However, any subsequent recovery in the fair value of an impaired available-for-sale equity security is recognised directly in equity. Changes in impairment provisions attributable to time value are reflected as a component of interest income.

(iv) Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or when it transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risks and rewards of ownership of the financial asset are transferred. Any interest in transferred financial assets that is created or retained by the Group is recognised as a separate asset or liability.

The Group derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Group enters into transactions whereby it transfers assets recognised on its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised from the statement of financial position. Transfers of assets with retention of all or substantially all risks and rewards include, for example, securities lending and repurchase transactions.

(k) Impairment for non-financial assets

The carrying amounts of the Group's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists then the assets' recoverable amount is estimated.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in the statement of comprehensive income. Impairment losses recognised in respect of cash-generating units are allocated first to reduce the carrying amount of any goodwill allocated to the units and then to reduce the carrying amount of the other assets in the unit (group of units) on a pro-rata basis.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

(l) Segmental reporting

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' operating results are reviewed regularly by the Group's Executive Committee (EXCO) to make decisions about resources to be allocated to the segment and assess its performance, and for which discrete financial information is available.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT

Principles

Housing Finance faces various types of risks which arise from its day to day operations as a financial institution. The Board of Directors and Management therefore devote a significant portion of their time to the management of these risks. The mainstay of effective risk management is the identification of significant risks, the quantification of the Group's risk exposure, actions to limit risk and the constant monitoring of risk.

The overarching aim of risk management is to ensure that all risks assumed in the course of the Group's business are recognized early on and mitigated by effective risk management. Successful risk management is recognized as a pre-condition for the sustained growth and success of the Group. Risk management and monitoring are implemented via the Group's risk management and risk control process and the organization structure corresponds to the CBK Risk Management Guidelines.

In order to ensure continuous improvement of risk management at all times the following key risk principles have been adopted and are applied;

- The Board of Directors assumes the ultimate responsibility for the level of risks taken by the Group and is responsible to oversee the effective implementation of the risk strategies.
- The organizational risk structure and the functions, tasks and powers of the employees, committees and departments involved in the risk processes are continuously being reviewed to ensure clarity of their roles and responsibilities.
- Risk issues are taken into consideration in all business decisions. Measures are in place to develop risk-based performance measures and this is being supplemented by setting risk limits at the overall Company and divisional levels, as well as by enforcing consistent operating limits for individual business activities.
- Risk management is increasingly being linked to management processes such as strategic planning, annual budgeting and performance measurement.
- Identified risks are reported in a transparent and timely manner and in full to the responsible senior management.
- Appropriate and effective controls exist for all processes entailing risks.

All these principles are enshrined in the risk management framework. It is further supplemented by specific guidelines for measuring and monitoring individual risk types as issued by the CBK Risk Management Guidelines.

The section below provides details of the Group's exposure to various risks and describes the methods used by management to control risk. The most important types of financial risks to which the Group is exposed are credit risk, liquidity risk and market risk mainly interest risk and operational risk.

(i) Credit risk

Credit risk is the current or prospective risk to earnings and capital arising from an obligor's failure to meet the terms of any contract with the company or if an obligor otherwise fails to perform as agreed.

Management of credit risk

The Group is subject to credit risk through its lending and investing activities.

Credit risk is the Group's largest risk and considerable resources, expertise and controls are devoted to managing it and comprehensive strategies, policies and procedures have been developed to effectively manage this risk.

The Board provides effective oversight of the overall credit portfolio through the Board Credit Committee (BCC). This committee is the decision making body with responsibility for loans that exceed the scope of authority of the management lending committee. Acting on the basis of the powers granted to it by the Board, the BCC decides on the overall lending limits for the Group and approves the credit risk strategies to be adopted.

The company has adequate Board approved Credit Policies which are reviewed annually and which cover all aspects of credit risk management (mortgage origination, analysis and appraisal, acceptable collateral, approval authorities and non-performing loan management).

At the management level, there is a Credit Risk Department staffed with highly skilled personnel who ensure credit risks are identified and mitigated. Within this department there is a fully fledged mortgage recoveries and rehabilitation unit with the responsibility of formulating workout solutions and restructuring mortgages in distress.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(i) Credit risk (continued)

Management of credit risk (continued)

The Group's primary exposure to credit risk arises through its mortgage advances to customers. The amount of credit exposure in this regard is represented by the carrying amounts of the assets on the statement of financial position. The Group is also exposed to credit risk on debt investments. The current credit exposure in respect of the instruments is equal to the carrying amount of these assets in the statement of financial position.

The risk that counterparties to instruments might default on their obligations is monitored on an ongoing basis. To manage the level of credit risk, the Group deals with counterparties of good credit standings and obtain collateral.

The Group also monitors concentration of credit risk that arises by customer in relation to mortgage advances to customers. The Group has no significant exposure to any individual customer or counterparty.

Impaired mortgage advances

Impaired loans and securities are loans and advances for which the Group determines that it is probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan. These loans are graded as substandard to loss categories in the Group's internal credit risk grading system.

Past due but not impaired mortgages

Past due but not impaired loans are those for which contractual interest or principal payments are past due but not for more than three months and the Group believes that impairment is not appropriate on the basis that in the Group's assessment the total outstanding balances are recoverable and the level of security / collateral available and / or the stage of collection of amounts owed to the Group is adequate. Any amounts past due for more than three months are considered impaired.

Mortgages with renegotiated terms

Mortgages with renegotiated terms are mortgages that have been restructured due to deterioration in the borrower's financial position and where the Group has made concessions that it would not otherwise consider. Once the loan is restructured it remains in this category until satisfactory performance after restructuring.

Allowances for impairment

The Group establishes an allowance for impairment losses on assets carried at amortised cost or classified as available for sale that represents its estimate of incurred losses in its loan and investment debt security portfolio. The main components of this allowance are a specific loss component that relates to individually significant exposures, and a collective loan loss allowance established for groups of homogeneous assets in respect of losses that have been incurred but have not been identified on loans that are considered individually insignificant as well as individually significant exposures that were subject to individual assessment for impairment but not found to be individually impaired.

Write-off policy

The Group writes off a loan / security balance (and any related allowances for impairment losses) when Group Credit determines that the mortgages / securities are uncollectible. This determination is reached after considering information such as the occurrence of significant changes in the borrower financial position such that the borrower can no longer pay the obligation, or that proceeds from collateral will not be sufficient to pay back the entire exposure.

(m) Dividends

Dividends are recognised as a liability in the year in which they are declared. Proposed dividends are disclosed as a separate component of equity.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

(n) Earnings per share

Earnings per share is calculated based on the profit attributable to shareholders divided by the number of ordinary shares. Diluted earnings per share is the same as the basic earnings per share. Diluted earnings per share are computed using the weighted average number of equity shares and dilutive potential ordinary shares outstanding during the year. During the year there were no significant outstanding shares with dilutive potential.

(o) Provisions

Provisions are recognised when the Group has a present legal or constructive obligation as a result of past events and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate of the amount of the obligation can be made.

(p) Offsetting

Financial assets and liabilities are offset and the net amount reported on the statement of financial position when there is a legally enforceable right to offset the recognised amount and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously.

(q) Joint venture

Joint ventures are those entities over whose activities the Group has joint control, established by contractual agreement and requiring unanimous consent for strategic financial and operating decisions. Investments in jointly controlled entities are accounted for using the equity method and are recognised initially at cost. The consolidated financial statements include the Group's share of the income and expenses and equity movements of equity accounted investees, from the date that joint control commences until the date the joint control ceases. When the Group's share of losses exceeds its interest in an equity accounted investee, the carrying amount of that interest, including any long-term investments, is reduced to nil, and the recognition of further losses is discontinued except to the extent that the Group has an obligation or has made payments on behalf of the investee.

(r) Comparatives

Where necessary, comparative figures have been restated to conform with changes in presentation in the current year.

(s) New standards and interpretations not yet adopted

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2012, and have not been applied in preparing these consolidated financial statements. These are summarised below and are not expected to have a significant impact on the consolidated financial statements of the Group:

- IFRS 9 Financial Instruments. IFRS 9 will become mandatory for the Group's 2015 consolidated financial statements.
- IFRS 10 Consolidated Financial Statements (effective for annual periods beginning on or after 1 January 2013).
- IFRS 11 Joint Arrangements (effective for annual periods beginning on or after 1 January 2013).
- IFRS 12 Disclosure of Interests in Other Entities (effective for annual periods beginning on or after 1 January 2013).
- IFRS 13 Fair Value Measurement (effective for annual periods beginning on or after 1 January 2013).
- IAS 19 Employee Benefits (Amended) (effective for annual periods beginning on or after 1 January 2013).
- IAS 27 (2011) Separate Financial Statements (effective for annual periods beginning on or after 1 January 2013).
- IAS 28 (2011) Investments in Associates and Joint Ventures (effective for annual periods beginning on or after 1 January 2013).
- Amendment to IAS 1 Presentations of items of other comprehensive income (effective for annual periods beginning on or after 1 July 2012).

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(i) Credit risk (continued)

Exposure to credit risk

	Mortgage advances		Investment in government securities		Investment in equities		Placement with other banks	
	2012 KShs'000	2011 KShs'000	2012 KShs'000	2011 KShs'000	2012 KShs'000	2011 KShs'000	2012 KShs'000	2011 KShs'000
Impaired loans	2,331,482	1,579,576	-	-	-	-	-	-
Gross amount allowance for impairment	(647,688)	(480,768)	-	-	-	-	-	-
Carrying amount	**1,683,794**	**1,098,808**	**-**	**-**	**-**	**-**	**-**	**-**
Neither past due nor impaired (normal and watch)	28,687,140	24,197,426	723,616	379,847	60,000	56,000	6,395,958	4,724,183
Allowance for impairment incurred but not reported	(77,223)	(73,398)	-	-	-	-	-	-
Carrying amount	**28,609,917**	**24,124,028**	**723,616**	**379,847**	**60,000**	**56,000**	**6,395,958**	**4,724,183**
Net carrying amount	**30,293,711**	**25,222,836**	**723,616**	**379,847**	**60,000**	**56,000**	**6,395,958**	**4,724,183**

In addition to the above, the Group has entered into lending commitments of KShs 4,438,269,576 (2011 – KShs 8,912,165,247) with various counter parties.

The Group holds collateral against mortgage advances to customers in the form of mortgage interests over property. Estimates of fair value are based on the value of collateral assessed at the time of borrowing, and generally are not updated except when a loan is individually assessed as impaired. Collateral is not held over placements with banks and investment in government securities as these are considered to be risk free.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(i) Credit risk (continued)

An estimate of the fair values of collateral against loans and advances to customers is shown below:

	2012 KShs'000	2011 KShs'000
Against impaired accounts	4,379,006	2,654,837
Against accounts not impaired	80,781,258	67,779,150
	85,160,264	**70,433,987**

Details of financial and non-financial assets obtained by the Group during the year by taking possession of collateral held against loans and advances held at the year end are shown below:

	2012 KShs'000	2011 KShs'000
Properties	**85,160,264**	**70,433,987**

The Group's policy is to pursue timely realisation of the collateral in an orderly manner. The Group generally does not use the non-cash collateral for its own operations.

(ii) Liquidity risk

Liquidity risk is the current or prospective risk to earnings and capital arising from the institution's failure to meet its maturing obligations when they fall due without incurring unacceptable losses.

The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

To this end, there is a Board approved policy to effectively manage liquidity at all times to meet mortgage demand and deposit withdrawals, regulatory requirements (liquidity ratio), unexpected outflow / non-receipt of expected inflow of funds as well as ensure adequate diversification of funding sources. The Asset & Liability Committee (ALCO) undertakes statement of financial position liquidity management and scenario analysis as per the policy on a bi-weekly basis.

The Group has access to a diverse funding base. Funds are raised mainly from deposits, share capital, corporate bond and loans. This enhances funding flexibility, limits dependence on any one source of funds and generally lowers the cost of funds. The Group strives to maintain a balance between continuity of funding and flexibility through the use of liabilities with a range of maturities. The Group continually assesses liquidity risk by identifying and monitoring changes in funding required to meet business goals and targets set in terms of the overall company strategy.

In addition the Group holds a portfolio of liquid assets as part of its liquidity risk management strategy.

Exposure to liquidity risk

The key measure used by the Group for managing liquidity risk is the ratio of net liquid assets to deposits from customers. For this purpose net liquid assets are considered as including cash and cash equivalents and investment securities for which there is an active and liquid market less any deposits from financial institutions and commitments maturing within the next 91 days. Details of the reported Group ratio of net liquid assets to customers' deposits at the reporting date and during the reporting year were as follows:

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(ii) Liquidity risk (continued)

	2012	2011
At 31 December	36.8%	29.10%
Average for the year	29.80%	44.78%
Maximum for the year	37.69%	58.08%
Minimum for the year	21.02%	28.02%

Contractual maturity analysis of financial assets and liabilities

The table below analyses the liquidity position of the Group's financial assets and liabilities:

31 December 2012:	Due on demand KShs '000	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs'000	Due after 5 years KShs'000	Total KShs'000
Financial assets						
Cash and bank balances	1,454,359	-	-	-	-	1,454,359
Placements with other banks	-	6,395,958	-	-	-	6,395,958
Investment in Government securities	-	401,644	-	-	321,972	723,616
Equity investments	-	-	-	-	60,000	60,000
Net mortgage advances to customers	-	525,530	1,435,399	4,031,429	24,301,353	30,293,711
Total	**1,454,359**	**7,323,132**	**1,435,399**	**4,031,429**	**24,683,325**	**38,927,644**
Financial liabilities						
Customer deposits	7,907,698	3,630,282	7,683,090	276,030	3,440,549	22,937,649
Loans from banks	-	179,165	215,001	1,012,974	295,694	1,702,834
Borrowed funds	-	-	-	181,891	-	181,891
Corporate bond	-	-	212,633	-	10,000,000	10,212,633
Government income notes	-	-	-	-	50,750	50,750
Total	**7,907,698**	**3,809,447**	**8,110,724**	**1,470,895**	**13,786,993**	**35,085,757**
Unrecognised mortgage commitments	**-**	**2,569,535**	**1,868,735**	**-**	**-**	**4,438,270**
At 31 December 2012	**(6,453,339)**	**944,150**	**(8,544,060)**	**2,560,534**	**10,896,332**	**(596,383)**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(ii) Liquidity risk (continued)

31 December 2011:	Due on demand KShs '000	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs'000	Due after 5 years KShs'000	Total KShs'000
Financial assets						
Cash and bank balances	384,034	-	-	-	-	384,034
Placements with other banks	-	3,608,915	1,115,268	-	-	4,724,183
Investment in Government securities	-	-	6,288	373,559	-	379,847
Equity investments	-	-	-	-	56,000	56,000
Net mortgage advances to customers	-	536,657	1,931,688	2,570,509	20,183,982	25,222,836
Total	**384,034**	**4,145,572**	**3,053,244**	**2,944,068**	**20,239,982**	**30,766,900**
Financial liabilities						
Customer deposits	6,502,854	6,254,214	2,920,832	91,776	2,901,910	18,671,586
Loans from banks	-	85,777	668,887	92,843	-	847,507
Corporate bond	-	-	137,698	-	7,030,900	7,168,598
Government income notes	-	-	-	-	50,750	50,750
Total	**6,502,854**	**6,339,991**	**3,727,417**	**184,619**	**9,983,560**	**26,738,441**
Unrecognised mortgage commitments	**-**	**3,173,895**	**5,738,270**	**-**	**-**	**8,912,165**
At 31 December 2011	**(6,118,820)**	**(5,368,314)**	**(6,412,443)**	**2,759,449**	**10,256,422**	**(4,883,706)**

(iii) Market risk

Management of market risk

Market risk is the risk that changes in market prices, such as interest rate and foreign exchange rates will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk. Overall authority for market risk is vested in ALCO. ALCO is responsible for the development of detailed risk management policies and for the day-to-day review of their implementation.

Exposure to interest rate risk

The principal risk to which financial assets and liabilities are exposed is the risk of loss from fluctuations in the future cash flows or fair values of financial instrument because of a change in market interest rates. Interest rate risk is managed principally through monitoring interest rate gaps and by having pre-approved limits for repricing bands. ALCO is the monitoring body for compliance with these limits and is assisted by Risk Management in its day-to-day monitoring activities.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(iii) Market risk (continued)

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's assets and liabilities at carrying amounts, categorized by the earlier of contractual repricing or maturity dates:

31 December 2012:	**Average interest rate**	**Due on demand KShs '000**	**Due within 3 months KShs '000**	**Due between 3 and 12 months KShs '000**	**Due between 1 and 5 years KShs'000**	**Due after 5 years KShs'000**	**Total KShs'000**
Financial assets							
Cash balances	-	1,454,359	-	-	-	-	1,454,359
Placements with other banks	14.12%	-	6,395,958	-	-	-	6,395,958
Investment in Government securities	14.65%	-	401,644	-	-	321,972	723,616
Net mortgage advances to customers	15.57%	-	525,530	1,435,399	4,031,429	24,301,353	30,293,711
Total		**1,454,359**	**7,323,132**	**1,435,399**	**4,031,429**	**24,623,325**	**38,867,644**
Financial liabilities							
Customer deposits	8.03%	7,907,698	3,630,282	7,683,090	276,030	3,440,549	22,937,649
Loans from banks	7.87%	-	179,165	215,001	1,012,974	295,694	1,702,834
Borrowed funds	16.50%	-	-	-	181,891	-	181,891
Corporate bond	9.01%	-	-	212,633	-	10,000,000	10,212,633
Government income notes	8.25%	-	-	-	-	50,750	50,750
Total		**7,907,698**	**3,809,447**	**8,110,724**	**1,470,895**	**13,786,993**	**35,085,757**
Unrecognised mortgage commitments		**-**	**2,569,535**	**1,868,735**	**-**	**-**	**4,438,270**
At 31 December 2012		**(6,453,339)**	**944,150**	**(8,544,060)**	**2,560,534**	**10,836,332**	**(656,383)**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(iii) Market risk (continued)

31 December 2011:	Average interest rate	Due on demand KShs '000	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs'000	Due after 5 years KShs'000	Total KShs'000
Financial assets							
Cash balances	-	384,034	-	-	-	-	384,034
Placements with other banks	15.04%	-	3,608,915	1,115,268	-	-	4,724,183
Investment in Government securities	11.90%	-	-	6,288	373,559	-	379,847
Net mortgage advances to customers	14.63%	-	536,657	1,931,688	2,570,509	20,183,982	25,222,836
Total		**384,034**	**4,145,572**	**3,053,244**	**2,944,068**	**20,183,982**	**30,710,900**
Financial liabilities							
Customer deposits	10.25%	6,502,854	6,254,214	2,920,832	91,776	2,901,910	18,671,586
Loans from banks	13.30%	-	85,777	668,887	92,843	-	847,507
Corporate bond	8.88%	-	-	137,698	-	7,030,900	7,168,598
Government income notes	8.25%	-	-	-	-	50,750	50,750
Total		**6,502,854**	**6,339,991**	**3,727,417**	**184,619**	**9,983,560**	**26,738,441**
Unrecognised mortgage commitments		**-**	**3,173,895**	**5,738,270**	**-**	**-**	**8,912,165**
At 31 December 2011		**(6,118,820)**	**(5,368,314)**	**(6,412,443)**	**2,759,449**	**10,200,422**	**(4,939,706)**

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(iii) Market risk (continued)

Sensitivity analysis interest rate risk

At 31 December 2012, if interest rates at that date had been 100 basis points lower with all other variables held constant, pre-tax profit for the year would have been KShs 13.790 million (2011 – KShs 10.070 million) lower arising mainly as a result of lower interest income and other components of equity would have been KShs 9.653 million (2011 – KShs 7.049 million) lower arising mainly as a result of lower interest income mortgages.

If interest rates had been 100 basis points higher, with all other variables held constant, pre-tax profits would have been KShs13.790 million (2011 - KShs 10.070 million) higher, arising mainly as a result of higher interest income on mortgage lending and other components of equity would have been KShs 9.653 million (2011 – KShs 7.049 million) higher, arising mainly as a result of higher interest income mortgages.

Sensitivity analysis foreign currency exchange risk

The Group's assets and liabilities are held in the local currency and therefore fluctuations in the foreign exchange rate are not expected to have any significant impact on the Group.

(iv) Operational risk

The Group's objective is to manage operational risk so as to balance the avoidance of financial losses and damage to the Group's reputation with overall cost effectiveness and to avoid control procedures that restrict initiative and creativity.

The primary responsibility for the development and implementation of controls to address operational risk is assigned to senior management within each business unit. The responsibility is supported by the development of overall Group standards for the management of operational risks. Compliance with Group standards is supported by a programme of periodic reviews undertaken by internal audit. The results of internal audit reviews are discussed with the management of the business unit to which they relate, with summaries submitted to the Board Audit committee and senior management of the Group.

Risk measurement and control

Interest rate, credit, liquidity, operational risk and other risks are actively managed by independent risk control groups to ensure compliance with the company's risk limits. The Group's risk limits are assessed regularly to ensure their appropriateness given the Group's objectives and strategies and current market conditions.

(v) Capital management

The Central Bank of Kenya sets and monitors capital requirements for banks and other non-bank financial institutions. In implementing the current capital requirements Central Bank of Kenya requires the company to maintain a prescribed ratio of total risk weighted assets. This requirement is calculated for market risk in the banking portfolio of Housing Finance Company of Kenya Limited.

The regulatory capital is analysed in two tiers:

- Tier 1 capital includes ordinary share capital, share premium, perpetual bonds, retained earnings, translation reserve and minority interest after deduction of goodwill and intangible assets and other regulatory adjustments relating to items that are included in equity but are treated differently for capital adequacy purposes.
- Tier 2 capital includes qualifying subordinated liabilities, collective impairment allowances and the element of the fair value reserves relating to unrealized gains on equity instruments classified as available for sale.

The company's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The impact of the level of capital on shareholders' return is also recognised and the company recognizes the need to maintain a balance between the higher returns that might be possible with greater gearing and the advantages and security afforded by a sound capital position.

The company and its individually regulated operations have complied with all externally imposed capital requirements throughout the year. There has been no material change in the Group's management of capital during the year.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

4. FINANCIAL RISK MANAGEMENT *(Continued)*

(v) Capital management (continued)

The company's regulatory capital position as at 31 December 2012 and 31 December 2011 was as follows:

	2012 KShs'000	2011 KShs'000
Tier 1 capital		
Ordinary share capital	1,153,000	1,152,125
Share premium	1,552,173	1,551,298
Retained earnings	1,474,298	1,017,703
	4,179,471	**3,721,126**
Tier 2 capital		
Collective allowances for impairment	241,845	217,112
Revaluation reserve	112,301	112,301
Qualifying subordinated liabilities	1,914,797	1,860,562
	2,268,943	**2,189,975**
Total regulatory capital	**6,448,414**	**5,911,101**
Risk weighted assets	**21,847,824**	**17,368,931**
Capital ratios	**2012**	**2011**
Total regulatory capital expressed as a percentage of total risk-weighted assets	29.52%	34.03%
Total tier 1 capital expressed as a percentage of risk-weighted assets	19.13%	21.42%

Central Bank of Kenya required the Company to maintain a minimum core capital of KShs 1,000 million as at 31 December 2012. The company is already compliant with this requirement.

5. OPERATING SEGMENTS

The Group is organised in two main reporting segments: Mortgages and Deposits mobilisation. This is based on the Group's management and internal reporting structure. The mortgage segment is further split between Retail mortgages, Schemes mortgages and Projects, while deposits mobilisation segment is further split between Retail deposits and Corporate deposits.

The following summary describes the operations of each Group's reportable segment;

- **Retail mortgages:** This segment is mainly responsible for sourcing residential mortgages for individual owner occupiers and it forms the major proportion of the mortgage lending of the Group.
- **Schemes mortgages:** This segment is mainly responsible for arranging corporate mortgage packages with employers such that the employees of the participating companies can enjoy preferential interest rates on their mortgage loans.
- **Projects:** This segment provides lending to property developers for construction. This includes construction of residential houses for sale, construction of office blocks, schools, hospitals and other related infrastructure.
- **Retail deposits:** This segment plays a critical role in the operations of the Group sourcing for deposits from retail customers which are then used to finance the Group's mortgage products.
- **Corporate deposits:** This segment is responsible for sourcing for deposits from corporate organizations.

Information regarding the results of each reportable segment is included below. Performance is measured based on segment profit before income tax, as included in the internal management reports that are reviewed by the Group's EXCO.

Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of each.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

5. OPERATING SEGMENTS *(Continued)*

	Mortgage Lending						Deposits Mobilisation							
External revenues	**Retail**		**Schemes**		**Projects**		**Corporate**		**Retail**		**Others**		**Totals**	
	2012 KShs'000	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**	**2012 KShs'000**	**2011 KShs'000**
Interest income	2,372,429	1,592,827	980,758	748,989	708,805	404,507	780,331	552,738	-	-	226,492	165,018	**5,068,815**	**3,464,079**
Interest expense:														
- Retail	-	-	-	-	-	-	-	-	(459,569)	(225,484)	-	-	**(459,569)**	**(225,484)**
- Corporate	-	-	(73,091)	(61,698)	-	-	(1,764,271)	(562,866)	-	-	(821,927)	(712,513)	**(2,659,289)**	**(1,337,077)**
Net interest income	**2,372,429**	**1,592,827**	**907,667**	**687,291**	**708,805**	**404,507**	**(983,940)**	**(10,128)**	**(459,569)**	**(225,484)**	**(595,435)**	**(547,495)**	**1,949,957**	**1,901,518**
Non interest income	85,807	107,932	-	-	53,058	44,210	-	-	63,223	59,728	70,852	78,009	**272,940**	**289,879**
Depreciation and amortisation	-	-	-	-	-	-	-	-	-	-	(63,728)	(49,521)	**(63,728)**	**(49,521)**
Reporting segment profit/(loss) before income tax	1,097,425	817,182	419,864	352,607	327,875	207,527	(455,146)	(5,196)	(212,585)	(115,682)	(275,432)	(280,886)	**902,001**	**975,552**
Loan disbursements	5,164,672	6,230,028	1,463,642	1,731,570	3,412,762	2,703,964	-	-	-	-	-	-	**10,041,076**	**10,665,562**
Loan sales	5,265,105	7,430,603	1,982,758	1,795,229	4,799,650	5,381,200	-	-	-	-	-	-	**12,047,513**	**14,607,032**
Deposits balances	-	-	3,440,549	2,901,910	-	-	10,621,518	8,050,826	8,532,750	7,721,685	-	-	**22,594,817**	**18,674,421**
Other material non cash items														
Impairment losses on mortgage loans	194,293	154,401	615	23,616	2,858	8,280	-	-	-	-	-	-	**197,766**	**186,297**
Capital expenditure	-	-	-	-	-	-	-	-	-	-	65,090	39,484	**65,090**	**39,484**
Reportable segment assets	14,404,563	12,500,830	9,269,558	8,137,592	5,013,019	3,559,004	8,573,920	5,488,052	-	-	3,424,870	2,286,635	**40,685,930**	**31,972,113**
Reportable segment liabilities	-	-	3,440,549	2,901,910	-	-	10,621,518	8,050,826	8,532,750	7,721,686	12,339,610	8,566,223	**34,934,427**	**27,240,645**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

5. OPERATING SEGMENTS *(Continued)*

Reconciliations of reportable segment revenues, profit or loss, assets and liabilities

	2012 KShs'000	2011 KShs'000
Net interest income		
Total net interest income for reportable segments	1,949,957	1,901,518
Other interest income adjustments	78	44
Consolidated net interest income	**1,950,035**	**1,901,562**
Non interest income		
Total non interest income for reportable segments	272,940	289,879
Other non interest income	10,946	1,740
Consolidated non interest income	**283,886**	**291,619**
Profit or loss		
Total profit or loss for reportable segments	902,001	975,552
Other profit or loss	5,630	243
Consolidated profit before income tax	**907,631**	**975,795**
Assets		
Total assets for reportable segments	40,685,930	31,972,113
Other assets	270,647	(101,197)
Consolidated total assets	**40,956,577**	**31,870,916**
Liabilities		
Total liabilities for reportable segments	34,934,427	27,240,645
Other liabilities	884,906	(87,093)
Consolidated total liabilities	**35,819,333**	**27,153,552**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

6. CRITICAL ACCOUNTING ESTIMATES AND JUDGEMENTS

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including experience of future events that are believed to be reasonable under the circumstances.

(a) Critical accounting estimates and assumptions

(i) Allowances for credit losses

Assets accounted for at amortised cost are evaluated for impairment on a basis described in accounting policy 3(j).

The specific counterparty component of the total allowances for impairment applies to financial assets evaluated individually for impairment and is based upon management's best estimate of the present value of the cash flows that are expected to be received. In estimating these cash flows, management makes judgements about counterparty's financial situation and the net realisable value of any underlying collateral. Each impaired asset is assessed on its merits, and the workout strategy and estimate of cash flows considered recoverable are independently approved by the Credit Risk function.

Collectively assessed impairment allowances cover credit losses inherent in portfolios of loans and advances and held-to-maturity investment securities with similar credit risk characteristics when there is objective evidence to suggest that they contain impaired loans and advances and held-to-maturity investment securities, but the individual impaired items cannot yet be identified. In assessing the need for collective loss allowances, management considers factors such as credit quality, portfolio size, concentrations and economic factors. In order to estimate the required allowance, assumptions are made to define the way inherent losses are modelled and to determine the required input parameters, based on historical experience and current economic conditions.

(ii) Income taxes

The company is subject to income taxes in Kenya. Significant judgment is required in determining the Group's provision for income taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognises liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

(b) Critical judgements in applying the entity's accounting policies

In the process of applying the Group's accounting policies, management has made judgements in determining:

- The classification of financial assets;
- Whether assets are impaired; and
- Depreciation rates for property and equipment.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

7. INTEREST INCOME AND INTEREST EXPENSE

	2012 KShs'000	2011 KShs'000
Interest income		
Arising from:		
Advances to customers	4,288,484	2,911,341
Placements with other banks	717,146	516,516
Treasury bonds	63,185	36,222
	5,068,815	**3,464,079**

Included in interest income on mortgage advances for the year is a total of KShs 226,491,925 (2011 – KShs 165,018,405) accrued on impaired assets. Interest income on treasury bonds relates to investment securities that are held to maturity.

	2012 KShs'000	2011 KShs'000
Interest expense		
Arising from:		
Customer deposits	2,296,853	850,003
Interest on borrowed funds	821,927	712,514
	3,118,780	**1,562,517**

8. NON INTEREST INCOME

	2012 KShs'000	2011 KShs'000
Arising from:		
Fees and commission income	210,884	210,367
Rental income	43,352	39,252
Other operating income	32,171	40,268
(Loss)/gain on sale of property and equipment	(2,521)	1,732
	283,886	**291,619**

9. NON INTEREST EXPENSES

	2012 KShs'000	2011 KShs'000
Arising from:		
Salaries and employee benefits	683,512	601,450
Rental expenses	7,622	6,949
Deposit Protection Fund	32,078	25,649
General administration expenses	405,312	397,041
	1,128,524	**1,031,089**
The following items are included with salaries and employee benefits:		
Compulsory social welfare contributions	701	634
Contributions to the defined contribution retirement scheme	49,605	43,045

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

10. PROFIT BEFORE TAXATION

	2012 KShs'000	2011 KShs'000
The profit before taxation is arrived at after charging/(crediting):		
Directors' remuneration:		
- Fees	3,164	2,682
- Expenses	11,222	21,205
- As executives	51,498	43,049
Auditors' remuneration	8,800	7,800
Amortisation of prepaid operating lease rentals	644	642
Amortisation of intangible assets	2,786	2,528
Depreciation	60,297	46,351
(Loss)/profit on sale of equipment	(2,521)	1,732

11. TAXATION

	2012	2011
Current tax at 30% – Current year	348,779	359,416
– Prior year	6,206	-
	354,985	359,416
Deferred tax (Note 27(a)) – Current year	(115,602)	(5,899)
– Prior year	(75,086)	-
	(190,688)	(5,899)
	164,297	**353,517**

The tax on the Group's profit before tax differs from the theoretical amount using the basic tax rate as follows:

	2012 KShs'000	2011 KShs'000
Accounting profit before taxation	**907,631**	**975,795**
Tax at the applicable corporation tax rate of 30%	272,289	292,739
Prior year under provision – corporation tax	6,206	-
Tax effect of non-deductible costs and non-taxable income	13,508	8,160
Deferred tax asset derecognised	-	52,618
Deferred tax asset previously unrecognized	(52,618)	-
Adjustment for deferred tax asset on provisions from prior periods	(75,088)	-
	164,297	**353,517**

12. EARNINGS PER SHARE

Basic

Earnings per share is calculated based on the profit attributable to shareholders divided by the number of ordinary shares in issue in each year as follows:

	2012 KShs'000	2011 KShs'000
Net profit for the year attributable to shareholders	**743,334**	**622,278**
Number of ordinary shares in issue (000's)	**230,600**	**230,425**
Weighted average number of ordinary shares	**230,502**	**230,150**
Basic earnings per share	**KShs 3.22**	**KShs 2.70**
Diluted earnings per share	**KShs 3.22**	**KShs 2.70**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

13. DIVIDEND PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. A final dividend in respect of the year ended 31 December 2012 of KShs 0.70 per share (2011: KShs 0.70) amounting to a total of KShs 161,420,000 (2011 - KShs 161,297,500) has been proposed. During the year an interim dividend of KShs 0.70 per share, amounting to a total of KShs 161,403,000 was paid. The total dividend for the year is therefore KShs 1.40 per share (2011 - KShs 1.20), amounting to a total of KShs 322,823,000 (2011 - KShs 276,497,500). Issued and fully paid ordinary shares were 230,600,000 as at 31 December 2012 (2011 – KShs 230,425,000).

14. FINANCIAL ASSETS AND LIABILITIES

The table below sets out the Group's classification of each class of financial assets and liabilities and their fair values including accrued interest:

(a) **Group**

31 December 2012:	**Held-to-maturity KShs'000**	**Loans and advances KShs'000**	**Other amortised cost KShs'000**	**Fair value KShs'000**
Financial Assets				
Cash and cash equivalents	-	-	1,454,359	1,454,359
Placements with banks	-	-	6,395,958	6,395,958
Investment in government securities	401,644	-	321,972	723,616
Equity investments	-	-	60,000	60,000
Mortgage advances	-	30,293,711	-	30,293,711
	401,644	**30,293,711**	**8,232,289**	**38,927,644**
Financial Liabilities				
Customer deposits	-	-	22,937,649	22,937,649
Corporate bond	-	-	10,212,633	10,212,633
Borrowed funds	-	-	181,891	181,891
Loans from banks	-	-	1,702,834	1,702,834
	-	**-**	**35,035,007**	**35,035,007**

31 December 2011:	**Held-to-maturity KShs'000**	**Loans and advances KShs'000**	**Other amortised cost KShs'000**	**Fair value KShs'000**
Financial Assets				
Cash and cash equivalents	-	-	384,034	384,034
Placements with banks	-	-	4,724,183	4,724,183
Investment in government securities	379,847	-	-	371,222
Equity investments	-	-	56,000	56,000
Mortgage advances	-	25,222,836	-	25,222,836
	379,847	**25,222,836**	**5,164,217**	**30,758,275**
Financial Liabilities				
Customer deposits	-	-	18,671,586	18,671,586
Corporate bond	-	-	7,168,598	7,168,598
Loans from banks	-	-	847,507	847,507
	-	**-**	**26,687,691**	**26,687,691**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

14. FINANCIAL ASSETS AND LIABILITIES *(Continued)*

(b) Company

31 December 2012:	Held-to-maturity KShs'000	Loans and advances KShs'000	Other amortised cost KShs'000	Fair value KShs'000
Financial Assets				
Cash and cash equivalents	-	-	1,454,346	1,454,346
Placements with banks	-	-	6,395,958	6,395,958
Investment in government Securities	401,644	-	321,972	723,616
Equity investments			60,000	60,000
Mortgage advances	-	30,293,711	-	30,293,711
	401,644	**30,293,711**	**8,232,276**	**38,927,631**
Financial Liabilities				
Customer deposits	-	-	22,968,209	22,968,209
Corporate bond	-	-	10,212,633	10,212,633
Loans from banks	-	-	1,702,834	1,702,834
	-	**-**	**34,883,676**	**34,883,676**
31 December 2011:				
Financial Assets				
Cash and cash equivalents	-	-	384,022	384,022
Placements with banks	-	-	4,724,183	4,724,183
Investment in government securities	379,847	-	-	371,222
Equity investments	-	-	56,000	56,000
Mortgage advances	-	25,222,836	-	25,222,836
	379,847	**25,222,836**	**5,164,205**	**30,758,263**
Financial Liabilities				
Customer deposits	-	-	18,674,421	18,674,421
Corporate bond	-	-	7,168,598	7,168,598
Loans from banks	-	-	847,507	847,507
	-	**-**	**26,690,526**	**26,690,526**

The fair value of treasury bonds is based on the indicative price of the specific issues as at the reporting date. The indicative prices are derived from trading at the Nairobi Securities Exchange. For Treasury bills, placements with other banks, cash and cash equivalents and deposits the amortised cost is deemed a reasonable approximation of fair value because of their short term nature. The fair value of mortgage advances has not been disclosed as this cannot be determined reliably.

15. CASH AND BALANCES WITH BANKS

	2012		2011	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Cash at hand	139,376	139,376	119,721	119,721
Balances with commercial banks	284,727	284,714	-	-
Balances with Central Bank of Kenya:				
- Unrestricted	341,210	341,210	264,313	264,301
- Restricted (Cash Reserve Ratio)	689,046	689,046	-	-
	1,454,359	**1,454,346**	**384,034**	**384,022**

The Cash Reserve Ratio (CRR) is non-interest earning and is based on the value of deposits as adjusted for the Central Bank of Kenya requirements. At 31 December 2012, the Cash Reserve Ratio was 5.25% (2011 – Nil) of all deposits. These funds are now available for use by the company in its day-to-day operations in a limited way provided that on any given day this balance does not fall below 3.00% requirement and provided that the overall average in the month is at least 5.25%.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

16. PLACEMENTS WITH OTHER BANKS

Group and Company:

	2012 KShs'000	2011 KShs'000
Placements with commercial banks	**6,395,958**	**4,724,183**

17. INVESTMENT IN GOVERNMENT SECURITIES

Group and Company:

	2012 KShs'000	2011 KShs'000
Held to Maturity		
Treasury bonds due after 180 days	401,644	379,847
Available for Sale		
Treasury bonds classified as available-for-sale	321,972	-
	723,616	**379,847**

The weighted average effective interest rate on government securities as at 31 December 2012 was 14.65% (2011 – 11.90%).

18. MORTGAGE ADVANCES TO CUSTOMERS

Group and Company:

	2012 KShs'000	2011 KShs'000
(a) Mortgage advances at amortised cost		
Mortgages	31,018,622	25,777,002
Less: Provision for impairment losses (Note 18(b))	(724,911)	(554,166)
	30,293,711	**25,222,836**
Maturing:		
Within five years	7,509,510	5,419,088
Over five years to ten years	5,781,173	4,166,985
Over ten years to fifteen years	11,686,727	10,973,778
Over fifteen years	5,316,301	4,662,985
	30,293,711	**25,222,836**

(b) Reserve for impairment losses

	Impairment losses KShs'000	Portfolio impairment KShs'000	Total KShs'000
At 1 January 2011	382,378	52,070	434,448
Impairment made in the year	171,701	21,328	193,029
Provisions no longer required	(6,732)	-	(6,732)
Written off against balance	(66,579)	-	(66,579)
At 31 December 2011	**480,768**	**73,398**	**554,166**
Impairment made in the year	246,600	3,252	249,852
Provisions no longer required	(52,086)	-	(52,086)
Written off against balance	(27,021)	-	(27,021)
At 31 December 2012	**648,261**	**76,650**	**724,911**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

18. MORTGAGE ADVANCES TO CUSTOMERS *(Continued)*

(c) Impairment losses

	Specific impairment losses KShs'000	Portfolio impairment KShs'000	Total KShs'000
2012			
Impairment made in the year	246,600	3,252	249,852
Provisions no longer required	(52,086)	-	(52,086)
At 31 December 2012	**194,514**	**3,252**	**197,766**
2011			
Impairment made in the year	171,701	21,328	193,029
Provisions no longer required	(6,732)	-	(6,732)
At 31 December 2011	**164,969**	**21,328**	**186,297**

(d) Mortgage advances

Included in the mortgage is interest yet to be received in cash from mortgage advances classified as impaired mortgages as shown below:

	2012 KShs'000	2011 KShs'000
Interest on impaired mortgages which has not yet been received in cash	**233,788**	**234,433**

The weighted average effective interest rate on mortgage advances to customers as at 31 December 2012 was 15.09% (2011 – 14.15%).

19. INVESTMENT IN SUBSIDIARIES AND JOINT VENTURE

SUBSIDIARIES	Shareholding	2012 KShs'000	2011 KShs'000
Kenya Building Society Limited	100%	250,000	125,000
First Permanent (East Africa) Limited	100%	5,020	5,020
Housing Finance Insurance Agency Limited	100%	100	-
		255,120	**130,020**

JOINT VENTURE	Shareholding	2012 KShs'000	2011 KShs'000
Precious Height Limited	50%	**86,700**	**-**

During the year, the Group entered into a joint venture in the name of Precious Height Ltd with a land owner for development of housing units (apartments) in Riruta, Nairobi. The entity is jointly controlled with each party holding 50% of the shareholding. Housing Finance contributed capital which is equivalent to value of the land where the housing units will be developed.

20. AMOUNTS DUE TO/(FROM) SUBSIDIARIES

	2012 KShs'000	2011 KShs'000
Company:		
Housing Finance Insurance Agency Limited	100	-
Kenya Building Society Limited	-	(48)
First Permanent (East Africa) Limited	-	15,006
	100	**14,958**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

21. OTHER ASSETS

	2012		2011	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Staff debtors	57,547	57,547	62,033	62,033
Prepayments	147,142	147,142	135,799	135,800
Deposits and rent receivable	7,684	7,684	6,022	6,022
Loan overpayment	9,008	9,008	-	-
Other receivables	163,044	166,651	42,324	46,445
	384,425	**388,032**	**246,178**	**250,300**

Included in staff debtors are staff car loans of KShs 8,208,174 (2011 – KShs 11,002,370) and staff personal loans of KShs 49,150,308 (2011 – KShs 48,402,595).

22. EQUITY INVESTMENTS

Group and Company:	2012 KShs'000	2011 KShs'000
Equity investments		
At 1 January	56,000	-
Acquired during the year	-	90,000
Change in fair value during the year	4,000	(34,000)
Available for sale investments	**60,000**	**56,000**

In 2011, the company participated in the British American Initial Public Offer and bought 10 million shares at price of KShs 9 per share. Total cost for the shares amounted to KShs 90m. The shares are listed in the Nairobi Securities Exchange and were trading at KShs 6.00 per share on 31 December 2012 (Kshs 5.60 per share on 31 December 2011). The increase in the fair value of KShs 4 million was recognised in available for sale reserve which is an equity component.

23. HOUSING DEVELOPMENT PROJECTS

	2012 KShs'000	2011 KShs'000
Group:		
Housing projects		
Komarock Housing Projects	**442,055**	**20,130**

Commitments of KShs 456,241,013 in respect of these projects were authorized in 2012 (2011: Nil).

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

24. PROPERTY AND EQUIPMENT

(a) Group

2012:	Freehold land KShs'000	Buildings KShs'000	Furniture, fixtures, equipment & motor vehicles KShs'000	Work in progress KShs'000	Total KShs'000
Cost or valuation:					
At 1 January 2012	7,000	475,596	199,500	70,030	752,126
Additions	-	-	65,105	10,125	75,230
Disposals	-	-	(3,902)	-	(3,902)
At 31 December 2012	7,000	475,596	260,703	80,155	823,454
Comprising:					
At cost	-	20,651	260,703	80,155	361,509
At valuation	7,000	454,945	-	-	461,945
	7,000	475,596	260,703	80,155	823,454
Depreciation:					
At 1 January 2012	-	16,706	30,212	-	46,918
Charge for the year	-	7,131	53,166	-	60,297
Disposals	-	-	(469)	-	(469)
At 31 December 2012	-	23,837	82,909	-	106,746
Net book value:					
At 31 December 2012	**7,000**	**451,759**	**177,794**	**80,155**	**716,708**

2011:	Freehold land KShs'000	Buildings KShs'000	Furniture, fixtures, equipment & motor vehicles KShs'000	Work in progress KShs'000	Total KShs'000
Cost or valuation:					
At 1 January 2011	7,000	475,596	551,616	20,685	1,054,897
Additions	-	-	39,484	49,345	88,829
Revaluation	-	-	(382,909)	-	(382,909)
Disposals	-	-	(8,691)	-	(8,691)
At 31 December 2011	7,000	475,596	199,500	70,030	752,126
Comprising:					
At cost	-	20,651	39,484	70,030	130,165
At valuation	7,000	454,945	160,016	-	621,961
	7,000	475,596	199,500	70,030	752,126
Depreciation:					
At 1 January 2011	-	9,574	444,906	-	454,480
Charge for the year	-	7,132	39,219	-	46,351
Revaluation	-	-	(446,038)	-	(446,038)
Disposals	-	-	(7,875)	-	(7,875)
At 31 December 2011	-	16,706	30,212	-	46,918
Net book value:					
At 31 December 2011	**7,000**	**458,890**	**169,288**	**70,030**	**705,208**

The Group's furniture, fittings, equipment and motor vehicles were professionally valued by an independent valuer on 1 June 2011 while land and buildings were professionally valued by an independent valuer on an open market basis on 31 December 2009. The resulting surplus was credited to revaluation reserve.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

24. PROPERTY AND EQUIPMENT *(continued)*

(a) Group - *continued*

The net book value (NBV) of properties at their historical cost is as follows:

	2012 KShs'000	2011 KShs'000
Freehold land	206	206
Buildings	28,785	34,972

Included in equipment are assets with a gross value of KShs 7,369,304 (2011 – KShs 7,369,304) which are fully depreciated and still in use. Such assets would have attracted a notional depreciation of KShs 955,613 (2011 – KShs 1,149,240).

(b) Company

2012:	Freehold land KShs'000	Buildings KShs'000	Furniture, fixtures, equipment & motor vehicles KShs'000	Work in progress KShs'000	Total KShs'000
Cost or valuation:					
At 1 January 2012	7,000	467,000	194,134	70,030	738,164
Additions	-	-	65,091	10,125	75,216
Disposals	-	-	(3,902)	-	(3,902)
At 31 December 2012	7,000	467,000	255,323	80,155	809,478
Comprising:					
At cost	-	54,055	-	80,155	134,210
At valuation	7,000	412,945	255,323	-	675,267
	7,000	467,000	255,323	80,155	809,478
Depreciation:					
At 1 January 2012	-	14,112	24,844	-	38,956
Charge for the year	-	7,056	53,166	-	60,222
Disposals	-	-	(469)	-	(469)
At 31 December 2012	-	21,168	77,541	-	98,709
Net book value:					
At 31 December 2012	**7,000**	**445,832**	**177,782**	**80,155**	**710,769**
2011:					
Cost or valuation:					
At 1 January 2011	7,000	467,000	546,250	20,685	1,040,935
Additions	-	-	39,484	49,345	88,829
Revaluation	-	-	(382,909)	-	(382,909)
Disposals	-	-	(8,691)	-	(8,691)
At 31 December 2011	7,000	467,000	194,134	70,030	738,164
Comprising:					
At cost	-	54,055	39,484	70,030	163,569
At valuation	7,000	412,945	154,650	-	574,595
	7,000	467,000	194,134	70,030	738,164
Depreciation:					
At 1 January 2011	-	7,056	439,538	-	446,594
Charge for the year	-	7,056	39,219	-	46,275
Revaluation	-	-	(446,038)	-	(446,038)
Disposals	-	-	(7,875)	-	(7,875)
At 31 December 2011	-	14,112	24,844	-	38,956
Net book value:					
At 31 December 2011	**7,000**	**452,888**	**169,290**	**70,030**	**699,208**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

24. PROPERTY AND EQUIPMENT *(continued)*

(b) Company - *continued*

The Company's furniture, fittings, equipment and motor vehicles were professionally valued by an independent valuer on 1 June 2011 while land and buildings were professionally valued by an independent valuer on an open market basis on 31 December 2009. The resulting surplus was credited to revaluation reserve.

The net book value (NBV) of properties at their historical cost is as follows:

	2012 KShs'000	2011 KShs'000
Freehold land	206	206
Buildings	28,785	34,972

25. PREPAID OPERATING LEASE RENTALS

	2012 Group KShs'000	2012 Company KShs'000	2011 Group KShs'000	2011 Company KShs'000
Cost:				
At 1 January	54,612	45,706	54,612	45,706
Amortisation:				
At 1 January	6,639	4,457	5,997	3,996
Charge for the year	644	462	642	461
	7,283	4,919	6,639	4,457
At 31 December	**47,329**	**40,787**	**47,973**	**41,249**

As at 31 December 2012 the un-expired lease period ranged from 62 to 84 years. Leasehold land is recognised at cost. The company leasehold land was valued professionally on 31 December 2009 at KShs 225,000,000.

26. INTANGIBLE ASSETS

	2012 Group KShs'000	2012 Company KShs'000	2011 Group KShs'000	2011 Company KShs'000
Cost:				
At January	129,087	129,015	127,066	126,994
Additions during the year	10,131	10,131	2,021	2,021
	139,218	139,146	129,087	129,015
Amortisation:				
At January	126,509	126,444	123,981	123,926
Amortisation during the year	2,786	2,779	2,528	2,518
As at 31 December	129,295	129,223	126,509	126,444
Net book value:				
As at 31 December	**9,923**	**9,923**	**2,578**	**2,571**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

27. DEFERRED TAX ASSETS

Recognised deferred tax assets and liabilities are attributable to the following:

(a) Group

2012:	**01.01.2012 KShs'000**	**Prior year under provision KShs'000**	**Recognised in income KShs'000**	**Unrecognised tax assets KShs'000**	**31.12.2012 KShs'000**
Arising from:					
Plant and equipment	11,764	-	(15,978)	-	(4,214)
Other general provisions	2,404	-	3,166	-	5,570
Unrealised exchange losses	-	-	1,489	-	1,489
Tax losses carried forward	-	-	52,319	-	52,319
General provision on mortgages	67,781	75,086	74,606	-	217,473
Net deferred tax	**81,949**	**75,086**	**115,602**	**-**	**272,637**

2011:	**01.01.2011 KShs'000**	**Prior year under provision KShs'000**	**Recognised in income KShs'000**	**Unrecognised tax assets KShs'000**	**31.12.2011 KShs'000**
Arising from:					
Plant and equipment	7,254	-	4,510	-	11,764
Other general provisions	212	-	2,192	-	2,404
General provision on mortgages	15,621	-	52,160	-	67,781
Tax losses carried forward	52,963	-	-	(52,963)	-
Net deferred tax	**76,050**	**-**	**58,862**	**(52,963)**	**81,949**

Unrecognised tax losses

Deferred tax assets have not been recognised in respect of the following items:

	2012 KShs'000	**2011 KShs'000**
Tax losses - Kenya Building Society Limited	-	176,543
Tax losses - First Permanent (East Africa) Limited	-	-
	-	**176,543**

The tax losses expire in 2014. Deferred tax assets were not recognised in respect of these items in 2011 because it was not probable that future taxable profit will be available against which the subsidiaries can utilise the benefits therefrom. In 2012, Kenya Building Society Limited commenced projects in Komarock that are likely to lead to taxable profits in the foreseeable future. Deferred tax assets have been recognised on the basis that they will be utilised against the expected taxable profits from these projects.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

27. DEFERRED TAX ASSETS *(continued)*

(b) Company

2012:	At 1 January KShs'000	Prior year under provision KShs'000	Recognised in income KShs'000	Unrecognised tax assets KShs'000	At 31 December KShs'000
Arising from:					
Plant and equipment	11,692	-	(15,974)	-	(4,282)
Other general provisions	2,404	-	3,109	-	5,513
Unrealised exchange losses	-	-	1,489	-	1,489
General provision on mortgages	67,781	75,086	74,606	-	217,473
	81,877	**75,086**	**63,230**	**-**	**220,193**
2011:					
Arising from:					
Plant and equipment	7,173	-	4,519	-	11,692
Other general provisions	212	-	2,192	-	2,404
General provision on mortgages	15,621	-	52,160	-	67,781
	23,006	**-**	**58,871**	**-**	**81,877**

28. EMPLOYEE BENEFITS

Employee Share Ownership Plan (ESOP)

Movement in the number of share options held for the employees under the Employee Share Ownership Plan is as follows:

	2012 Number of shares	2011 Number of shares
Outstanding at start of year	550,000	-
Granted during the year	675,000	975,000
Lapsed	(425,000)	-
Exercised	(175,000)	(425,000)
Outstanding at end of year	**625,000**	**550,000**
Exercise price per share – KShs	**10.00**	**10.00**

Options may be exercised at the price of KShs 10. The trading price of Housing Finance Company of Kenya Limited share as at 31 December 2012 on the Nairobi Securities Exchange was KShs 15.45 (2011- KShs 12.40).

Back ground of Employee Share Ownership Plan

On 26 July 2006, the shareholders gave approval for an Employee Share Ownership Plan (ESOP) to be set up to facilitate the ownership of shares in Housing Finance Company of Kenya Limited by employees of the company. Approval to issue additional shares, listing of shares and allotment to the Employee Share Ownership Plan (ESOP) was approved by Capital Market Authority on 20 December 2010. The total number of shares approved under the ESOP amount to 5,750,000. The ESOP is for Company employees (excluding non executive board directors) who have attained the age of 18 years, have completed the probationary period and have been confirmed as employees of the Company in accordance with their contract of employment. However, the right to exercise an Option shall terminate immediately upon the Option holder ceasing to be an eligible employee, unless the holder of an unexercised Option dies before exercising a subsisting Option, where the Option may be exercised by his personal representatives within 12 months of the date of death. The eligible employees pay for the units by cash at a price determined by Trustees either in full or by instalments until price is paid in full. The Unit holder is not allowed to sell, transfer or otherwise dispose of Units registered in his name to another Unit holder or to any third party whatsoever. The administrative offices of the ESOP – Unit Trust are the Principal Offices of the Company.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

29. CUSTOMERS' DEPOSITS

	2012		2011	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Government and parastals:				
Payable within 90 days	400,914	400,914	384,265	384,265
Payable after 90 days and within one year	478,839	478,839	243,559	243,559
Payable after one year	1,611,885	1,611,885	1,649,629	1,649,629
Private sector and individuals:				
Payable within 90 days	11,137,066	11,167,626	12,372,805	12,375,640
Payable after 90 days and within one year	7,204,251	7,204,251	2,677,273	2,677,273
Payable after one year	2,104,694	2,104,694	1,344,055	1,344,055
	22,937,649	**22,968,209**	**18,671,586**	**18,674,421**

(a) Included in customers' deposits is KShs 21,460,807 (2011 – KShs 2,834,772) due to a subsidiary, Kenya Building Society Limited, KShs 6,404 (2011 – Nil) due to a subsidiary, First Permanent (East Africa) Limited and KShs 9,106,282 due to a subsidiary, Housing Finance Insurance Agency Limited.

(b) The weighted average effective interest rate on customer deposits as at 31 December 2012 was 8.03% (2011 – 10.25%).

30. OTHER LIABILITIES

	2012		2011	
	Group KShs'000	Company KShs'000	Group KShs'000	Company KShs'000
Government and parastals:				
Interest payable on the Government of Kenya income notes	2,093	2,093	2,093	2,093
House sales deposits	119,101	-	1,524	-
Withholding tax payable	32,236	32,236	21,555	21,555
Unclaimed dividends	24,112	24,112	21,209	21,209
Sundry creditors	70,892	70,892	72,512	72,512
Insurance premiums payable	238,018	238,018	-	-
Other liabilities	297,874	288,983	211,034	207,005
	784,326	**656,334**	**329,927**	**324,374**

31. LOANS FROM BANKS

	2012	2011
Group and company:	KShs'000	KShs'000
Standard Chartered Bank Kenya Limited	-	400,000
Equity Bank Kenya Limited	93,537	447,507
European Investment Bank	889,989	-
Ghana International Bank (London)	719,308	-
	1,702,834	**847,507**

The Standard Chartered Bank Kenya Limited loan was fully paid during the year while loan from Equity Bank Limited is at 8.5% per annum for three years and will be redeemed on 31 March 2013. During the year the Company received a USD 10 million loan from Ghana International Bank in London for a period of 3 years with effect from 6 June 2012 at the rate of 3 months USD LIBOR plus a margin of 5.50%. Both interest and principal of this facility are repayable on a quarterly basis. Additionally, the Company received two loan tranches from European Investment Bank of KShs 668,085,425 at 10.783 % and KShs 211,000,000 at 11.269%, both for a period of 7 years for lending to Small and Medium Enterprises in the real estate sector. Interest and principal are payable semi-annually with a 2 year grace period for principal repayments.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

32. BORROWED FUNDS

	2012 KShs'000	2011 KShs'000
Group:		
Borrowed funds from Shelter Afrique	**181,891**	**-**

During the year, Kenya Building Society Ltd (KBSL) which is a 100% owned subsidiary of Housing Finance Company of Kenya Ltd entered into a financing arrangement with Shelter Afrique for development of 162 housing units at Komarock phase V. The total amount of the facility is KShs 647 million secured by the land where the development is taking place. The loan is at Shelter Afrique's base rate currently at 13% plus 3.50% margin. Both interest and principal are payable on a quarterly basis with a 30 months grace period on the principal.

33. CORPORATE BOND

	2012 KShs'000	2011 KShs'000
Group and company:		
Corporate bond	10,000,000	7,030,900
Interest payable on Corporate bond	212,633	137,698
	10,212,633	**7,168,598**

During the year, the company raised KShs 2,969,100,000 which was the balance on the 7 year KShs 10 billion medium term note (MTN) programme. The total amount is at a fixed rate of 13%.

In 2010, the company raised KShs 7,030,900,000 under the 7 year MTN whose programme size is KShs 10,000,000,000. The total notes on a fixed rate of 8.5% per annum amount to KShs 5,865,400,000 while the total notes on floating rate are KShs 1,165,500,000. The floating rate notes are on a margin of 3% plus 182 day Treasury bill rate of the last auction immediately preceding the interest payment date subject to a minimum of 5% per annum and maximum of 9.5% per annum.

34. CAPITAL AND RESERVES

	2012 KShs'000	2011 KShs'000
Group and company:		
(a) Ordinary share capital		
235,750,000 authorised ordinary shares of KShs 5.00 each	**1,178,750**	**1,178,750**
Issued and fully paid:		
At 1 January:		
230,425,000 ordinary shares of KShs 5.00 each	1,152,125	1,150,000
175,000 (2011 – 425,000) ordinary shares of KShs 5.00 each issued in the year	875	2,125
At 31 December		
230,600,000 (2011 – 230,425,000)		
Ordinary shares of KShs 5.00 each	**1,153,000**	**1,152,125**

The holders of ordinary shares are entitled to receive dividends declared from time to time and are entitled to one vote per share at annual general meetings of the company. Issued and fully paid ordinary shares were 230,600,000 as at 31 December 2012 (2011 – 230,425,000). During 2012, 175,000 ordinary shares were issued at KShs 10 per share leading to a share premium of KShs 5.00 per share issued.

(b) Share premium

These reserve arise when the shares of the company are issued at a price higher than the nominal (Par) value.

(c) Revaluation reserve

Revaluation reserve arise from the periodic revaluation of Group's assets. The book values of these assets are adjusted to the revaluations. Revaluation surpluses are not distributable.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

34. CAPITAL AND RESERVES *(continued)*

(d) Statutory reserve

Where impairment losses required by legislation or regulations exceed those computed under International Financial Reporting Standards (IFRSs), the excess is recognised as a statutory reserve and accounted for as an appropriation of retained profits. These reserves are not distributable.

(e) Available-for-sale reserve

The available-for-sale reserve includes the cumulative net change in the fair value of available-for-sale investments and available-for-sale Treasury bonds, excluding impairment losses, until the investment is derecognised.

	2012 KShs'000	2011 KShs'000
As at 1 January	(34,000)	-
Change in fair value during the year		
Equity investments classified as available for sale	4,000	(34,000)
Treasury bonds classified as available for sale	(6,503)	-
	(2,503)	(34,000)
As at 31 December	**(36,503)**	**(34,000)**

35. SHAREHOLDERS' INCOME NOTES AND LOANS

	2012 KShs'000	2011 KShs'000
Group and company:		
Government of Kenya – Income Notes	**50,750**	**50,750**

The Government of Kenya – Income Notes carry no redemption date and are charged interest at a fixed rate of 8.25% per annum (2011 – 8.25%).

36. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of operating profit to net cash flows from operating activities	2012 KShs'000	2011 KShs'000
Group profit before taxation	907,631	975,795
Depreciation	60,297	46,351
Amortisation of intangible asset	2,786	2,528
Amortisation of prepaid operating lease rentals	644	642
Loss/(profit) on sale of property and equipment	2,521	(1,732)
Balances with Central Bank of Kenya – CRR	(1,030,256)	-
Increase in customer deposits	4,266,063	2,728,245
Net movement in mortgage advances to customers	(5,070,875)	(5,719,436)
Investment in Government securities	(350,272)	159,988
Increase in housing project	(421,925)	-
Increase in other assets	(138,247)	(45,970)
Increase in other liabilities	451,496	4,850
Increase in funds from corporate bonds	2,969,100	-
Increase in interest payable on corporate bond	74,935	12,254
Increase in borrowed funds	181,891	-
Increase/(decrease) in loans from banks	855,327	(725,862)
Net cash flows from operating activities before tax	**2,761,116**	**(2,562,347)**
Income tax paid	(560,075)	(249,819)
Net cash flows from operating activities	**2,201,041**	**(2,812,166)**

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

36. NOTES TO THE STATEMENT OF CASH FLOWS *(continued)*

(b) Analyses of cash and cash equivalents

	2012 KShs'000	2011 KShs'000	Change in the year KShs'000
Cash in hand and bank	424,103	384,034	40,069
Balances due from banking institutions	6,395,958	4,724,183	1,671,775
	6,820,061	**5,108,217**	**1,711,844**

37. CONTINGENT LIABILITIES

(a) Guarantees

As at 31 December 2012, the company had issued guarantees in the ordinary course of business to third parties amounting to KShs 13.819 million (2011 – KShs 1.033 million).

(b) Other contingent liabilities

In the ordinary course of business, the company and its subsidiaries are defendants in various litigations and claims. Although there can be no assurances, the directors believe, based on the information currently available and legal advice, that the claims can be successfully defended and therefore no provision has been made in the financial statements. The significant claims are described below:

Kenya Building Society Limited (KBSL) is a 100% owned subsidiary of Housing Finance. The company entered into a joint venture agreement with Santack Limited for the development of a housing project in Komarock (Komarock Phase V). KBS terminated the contract because Santack Limited was unable to perform as per the contract. Upon termination of the contract Santack raised a claim of KShs 340 million being their estimated loss following the termination of the contract. Housing Finance also raised a counter claim of KShs 74 million. The matter was referred for arbitration as provided for in the joint venture agreement.

In the arbitration, the Claimant was seeking KShs. 24,880,000 together with the right to possession of the subject site (Title Number Nairobi Block/ 11344), as pursuant to the case filed with the High Court, the Respondent was permitted to stay on site. By way of counter-claim in the arbitration, Respondent claimed KShs 376,550,205 in respect of monies put into the works, loss of profits or the current market value of the site, the costs of maintaining the site and general damages for defamation. The arbitrators ruled in favour of KBSL on 5 April 2012.

ICEALION (formerly Insurance Company of East Africa Limited (ICEA)) has sued Housing Finance and others for loss of KShs 120m which were funds withdrawn by the third defendant, ICEA's former Assistant General Manager, and deposited with Nyaga Stock Brokers. The Company's advocates have filed a defence against ICEA.

In 2010, Kenya Revenue Authority carried out a tax audit of Housing Finance for the years 2006 – 2009 and raised a claim of KShs 61,369,382 (including penalties and interest). Housing Finance appealed against KRA's assessments for KShs 6,743,448 at the Local Committee and the appeal succeeded. However, KRA appealed against the local Committee decision at the High Court. The appeal was however dismissed by the High Court in November 2012. Out of the remaining balance of KShs 51,142,134, KRA conceded KShs 28,338,768, Housing Finance paid KShs 6,205,446 and applied for waiver of penalties and interest amounting to 16,597,920 to the Minister of Finance.

Additionally, in 2011 KRA also conducted a Value Added Tax (VAT) compliance inspection and raised a claim of KSh 80,174,990 (including interest) as VAT assessment on self-supply on commercial rent for the period January 2008 to June 2011. Housing Finance has appealed against KRA decision at the VAT Tribunal.

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

38. OPERATING LEASE ARRANGEMENTS

Group and company:

The bank as a lessor

Rental income earned during the year was KShs 41,374,367 (2011 – KShs 39,251,575). At the reporting date, the company had contracted with tenants for the following future lease receivables:

	2012 KShs'000	2011 KShs'000
Within one year	34,212	31,946
In second to fifth year inclusive	100,162	92,570
After five years	2,893	7,341
	137,267	**131,857**

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

The bank as a lessee

At the reporting date, the company had outstanding commitments under operating leases which fall due as follows:

	2012 KShs'000	2011 KShs'000
Within one year	19,651	4,966
In second to fifth year inclusive	69,473	23,592
After five years	1,301	22,391
	90,425	**50,949**

Operating lease payments represent rentals payable by the bank for its branches' premises. Leases are negotiated for an average term of 6 years.

39. MORTGAGE COMMITMENTS

Group and company:

Mortgage commitments amounting to KShs 4,438,269,576 (2011 – KShs 8,912,165,247) are analysed below:

	2012 KShs'000	2011 KShs'000
Commitment in principle but not authorised for payment	4,438,269	8,912,165
Authorised but not paid	-	-
	4,438,269	**8,912,165**

40. CAPITAL COMMITMENTS

Group and company:

Authorised but not contracted	**402,297**	**71,219**

41. ASSETS PLEDGED AS SECURITY

As at 31 December 2012, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2011 – Nil).

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2012 *(continued)*

42. RELATED PARTY TRANSACTIONS

Group and company:

The Group has entered into transactions with its employees as follows:

(a) Loans

	2012 KShs'000	2011 KShs'000
At 1 January	606,403	459,861
Loans advanced during the year	281,457	226,500
Loans repayments received	(89,203)	(79,958)
At 31 December	**798,657**	**606,403**
Mortgage advances	741,111	544,183
Personal loans	49,150	48,403
Staff car loans	8,208	11,002
Other	188	2,815
At 31 December	**798,657**	**606,403**

Included in related party are staff car loans of KShs 8,208,174 (2011 – KShs 11,002,370) and staff personal loans of KShs 49,150,308 (2011 – KShs 48,402,595). The related interest income for staff car loans and staff personal loans in 2012 was KShs 596,677 (2011 – KShs 973,413) and KShs 3,487,354 (2011 – KShs 2,521,072) respectively.

In the normal course of business, transactions have been entered with certain related parties at commercial terms.

(b) Remuneration to directors is disclosed under Note 10.

(c) Compensation to senior management for the year ended 31 December 2012 amounted to KShs 106,039,097 (2011 – KShs 100,585,987).

(d) Transactions with Equity Bank Limited

	2012 KShs'000	2011 KShs'000
At 1 January	447,507	773,369
Loans received during the year	-	-
Loan repayments	(353,969)	(325,862)
At 31 December	**93,538**	**447,507**

Interest expense on the Equity Bank loan for the year ended 31 December 2012 amounted to KShs 26,945,677 (2011 – KShs 55,518,962).

SHAREHOLDER'S PROXY

To: **The Registrar,**

Housing Finance Company of Kenya Limited

Rehani House, Kenyatta Avenue,

P.O Box 30088 – 00100 Nairobi, GPO

I/We --

of --

being a member/members of HOUSING FINANCE COMPANY OF KENYA LIMITED hereby appoint

----

of --

or failing him --

of --

as my/our proxy to vote for me/us on my/our behalf at the 47th Annual General Meeting of the Company to be held on the 26th day of April 2013 and at any adjournment thereof.

Number of shares held ---

Account number -- (if known)

Signed this-- day of ------------------------------ 2013

Signed

Note:

1. If you wish, you may appoint the Chairman of the meeting as your proxy
2. In the case of a meeting being a corporation, the proxy must be under the Common Seal or under the hand of an officer or attorney duly authorised.
3. The proxy form should be completed and returned not later than 48 hours before the meeting or any other adjournment thereof.

Housing Finance

Turning dreams into homes

FOMU YA UAKILISHI

Kwa: **Msajili**

Housing Finance Company of Kenya Limited
Rehani House, Kenyatta Avenue,
S.L.P. 30088 – 00100 Nairobi, GPO

Mimi/Sisi --

kutoka--

kama mwanachama/wanachama wa HOUSING FINANCE COMPANY OF KENYA LIMITED twamteua

----

kutoka--

au akikosekana --

kutoka--

kama wakala wangu/wetu kupigia kura kwa niaba yangu/yetu wakati wa mkutano mkuu wa 47 wa mwaka utakaofanyika 26 Aprili 2013 au kuahirishwa kwake.

Idadi ya hisa zilizohifadhiwa --

Nambari ya akaunti--

(endapo inajulikana)

Imetiwa sahihi siku hii -- Tarehe --
2013

Sahihi

Kumbuka:

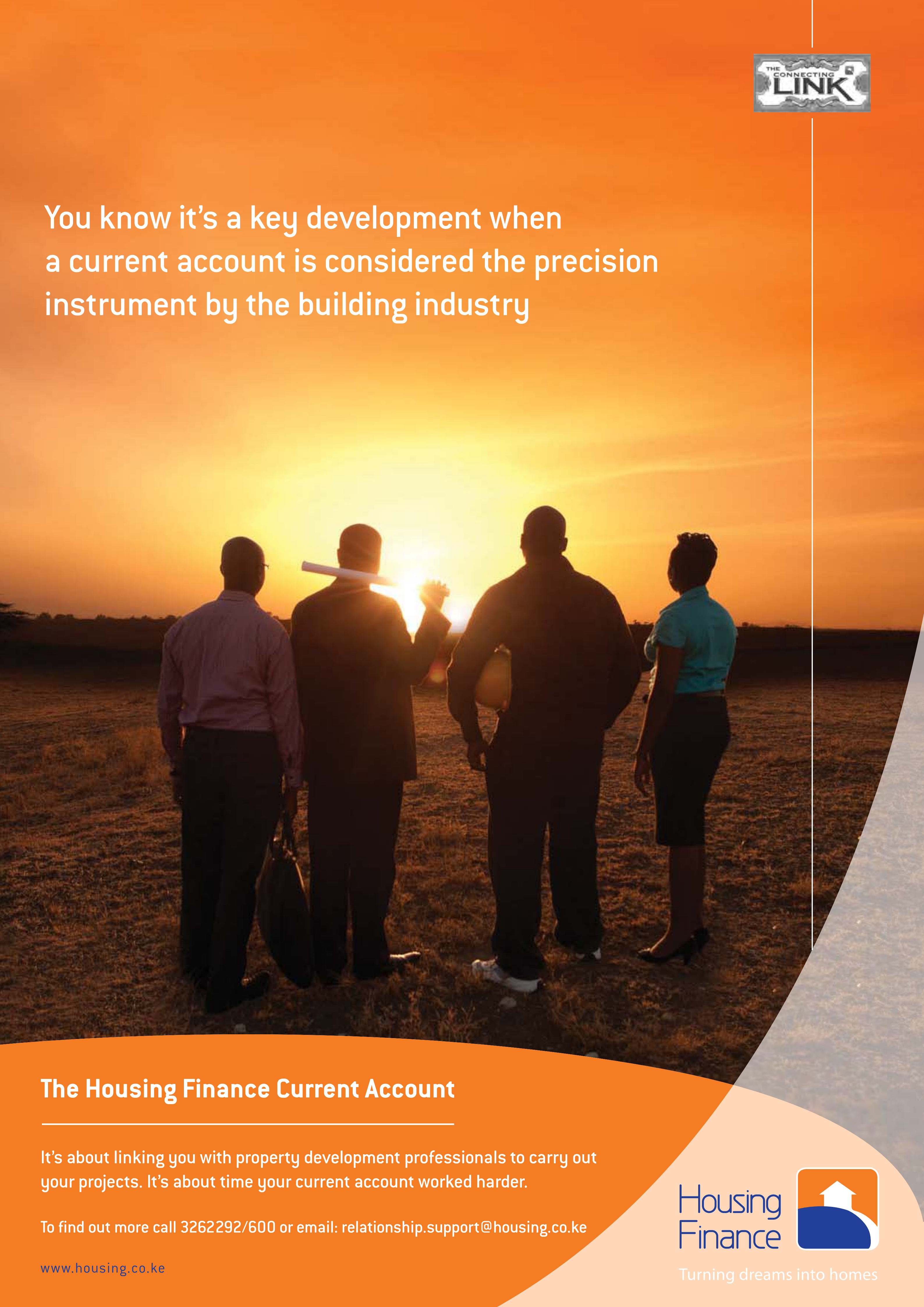
1. Kwa hiari yako, unaweza kumteuwa Mwenyekiti kama wakala wako wakati wa mkutano.

2.Endapo mwanachama ni shirika, wakala lazima awe ametiwa muhuri na kutiwa sahihi na afisa au wakili aliyeruhusiwa.

3.Fomu ya wakala ijazwe na kuwasilishwa chini ya muda wa saa 48 kabla ya kuanza kwa mkutano au kuahirishwa kwake.

Housing Finance
Turning dreams into homes

NOTES


THE CONNECTING LINK
You know it's a key development when
a current account is considered the precision
instrument by the building industry
The Housing Finance Current Account
It's about linking you with property development professionals to carry out
your projects. It's about time your current account worked harder.
To find out more call 3262292/600 or email: relationship.support@housing.co.ke
www.housing.co.ke
Housing Finance
Turning dreams into homes

Housing Finance

Turning dreams into homes

Head Office: Rehani House Kenyatta Avenue/Koinange Street
P.O Box 30088-00100 GPO, Nairobi, Kenya
Tel: 254 - 20 - 317474, 221101
ISDN Pilot Line: + 254 - 20 - 3262000
Email: housing@housing.co.ke
Website: www.housing.co.ke